

# The Wolfsberg Group

## Correspondent Banking Due Diligence Questionnaire (CBDDQ) Guidance

February 2023

The Basel Committee on Banking Supervision (BCBS), the Committee on Payments and Market Infrastructures (CPMI), the Financial Action Task Force (FATF) and The Financial Stability Board (FSB) have recognised the Correspondent Banking Due Diligence Questionnaire (CBDDQ) as being 'one of the industry initiatives that will help to address the decline in the number of correspondent banking relationships by facilitating due diligence processes.

This document aims to support the usage of the CBDDQ by providing guidance on responses to questions as well as an understanding of underlying risks of Correspondent and Respondent banking activities, and what steps a Respondent can take to enhance its controls to meet current industry standards. In all responses, the Respondent should be transparent and note at the end of each section any additional information that will help the Correspondent understand the context of the responses. Open and direct communication between parties will assist to build a solid working relationship. A separate CBDDQ should be completed for each legal Entity.

This guidance covers the questions that the Wolfsberg Group believes would benefit most from additional background (so not all questions are covered) and is to be used alongside all other published CBDDQ material, available at the Wolfsberg Group webpage <https://www.wolfsberg-principles.com/wolfsbergcb>. This guidance is based on version 1.4 of the CBDDQ.

| 1. Entity & Ownership |                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| Question 1            | <b>Full Legal Name</b>                                                           | <b>Guidance</b><br>The Full Legal Name is also referred to as company name. Your Entity's full legal name is vital to ensure that the Correspondent Banking risk assessment is being performed on the correct party.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|                       |                                                                                  | <b>Points for Consideration</b><br>The full name must match the name in the Correspondent Bank's records and reflect the legal Entity that is completing the questionnaire.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Question 2            | <b>Append a list of foreign branches which are covered by this questionnaire</b> | <b>Guidance</b><br>A list of your Legal Entity's foreign branches should be appended, unless there is a branch which has different business activities/customers or does not follow the same Financial Crime Compliance (FCC) programme. List all branches acting as responding entities, including full name and country of location. If the business model is the same or substantially similar in each country where your Entity has branches, one CBDDQ will suffice for all. If not, any differences should be noted, explaining what they are.                                                                                                                                                                                                                                                                                                     |
|                       |                                                                                  | <b>Points for Consideration</b><br>All responses must be provided at the Legal Entity level, in other words the questionnaire must be answered covering all branches but should not cover subsidiaries. If a response differs for one of your branches, this needs to be highlighted and details explaining the difference added at the end of each subsection. While regulatory and legal requirements vary across jurisdictions, generally requirements exist to demonstrate identification/ verification, due diligence and Enhanced Due Diligence (EDD), where applicable, are being applied to the correct legal Entity.<br>If any of the branches' business activity (products offered, customer base, etc.) or FCC control programme is significantly different than its head office, a separate questionnaire must be completed for that branch. |
| Question 3            | <b>Full Legal (Registered) Address</b>                                           | <b>Guidance</b><br>Full Legal (Registered) address for Legal Entities, also known as address of incorporation, should be provided.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|                       |                                                                                  | <b>Points for Consideration</b><br>Different jurisdictions present a different level of potential Financial Crime (FC) risk, hence the importance of understanding the geographic risks posed by the location of the registered and primary business address(es). Consider if the jurisdiction has any FC vulnerabilities and how controls have been implemented to address them. The risk of the jurisdiction in which the Entity is located also has a bearing on the risks of the banking activity in that jurisdiction. For further information, refer to the <a href="#">FATF Mutual Evaluations</a> on jurisdictions that present FC weaknesses and the <a href="#">Wolfsberg Group Country Risk Frequently Asked Questions (FAQs)</a> .                                                                                                           |

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| Question 4    | <b>Full Primary Business Address (if different from above)</b>             | <p><b>Guidance</b><br/>Full Primary Business Address is the address where your Entity is primarily physically located (similar to principal business address or address of residence).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Question 5    | <b>Date of Entity incorporation/ establishment</b>                         | <p><b>Guidance</b><br/>Provide the date of incorporation of your Entity. If the full date is not available, provide the year and explain why the full date is not available.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|               |                                                                            | <p><b>Points for Consideration</b><br/>As with other types of legal entities, the length of time the legal Entity has been in existence could have a bearing on risk. Entities that have been in existence longer are likely to have a larger public footprint and longer history, enabling the Correspondent to obtain more information and conduct a more complete risk analysis. If your Entity was recently established, consider how it can demonstrate to the Correspondent that it has the necessary knowledge of its customer base and risks such that controls are implemented in an effective manner.</p>                                                                                                                                                                                                                                                                                                                                                             |
| Question 6    | <b>Select type of ownership and append an Ownership chart if available</b> | <p><b>Guidance</b><br/>You should provide the type of ownership for your Entity. The most commonly encountered ownership structures are included in the drop down. If your Entity's ownership structure is not represented in the drop down, provide the relevant information under Question 18 so that the Correspondent can understand the set up.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|               |                                                                            | <p><b>Points for Consideration</b><br/>Different types of ownership structures may present different FC risks. Consider if the Entity's ownership structure poses risks related to money laundering, terrorist financing, sanctions, bribery and corruption, tax evasion, fraud and/or has been the subject of adverse media and what steps, additional information or additional controls can support the Correspondent's assessment of your Entity's organisation. It is important for the Correspondent to understand your corporate structure in order to assess risk. For this reason, as much relevant detail as possible describing the ownership structure is desirable.<br/>Some jurisdictions make the determination of ownership (especially publicly traded vs. privately held) part of their regulatory due diligence requirements. Generally speaking, more transparency is linked to less risk, while opaque ownership structures would present higher risk.</p> |
| Question 6 a  | <b>Publicly Traded (25% of shares publicly traded)</b>                     | <p><b>Guidance</b><br/>An Entity is publicly traded if 25% or more of its ordinary shares or common stock are listed on a stock exchange.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 6 a1 | <b>If Y, indicate the exchange traded on and ticker symbol</b>             | <p><b>Guidance</b><br/>Provide the full names of all the stock exchanges where your Entity's ordinary shares/common stock are listed along with the unique ID used by each stock exchange to identify the security.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

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|                  |                                                                                                                 | <p><b>Points for Consideration</b></p> <p>Different exchanges will have different requirements for reporting and transparency. The jurisdiction of these exchanges plays a large role in whether they have high, more stringent standards, or lesser requirements. The quality of oversight exercised by the stock exchange may be viewed as a risk mitigant.</p>                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Question 6<br>b  | <b>Member Owned/Mutual</b>                                                                                      | <p><b>Guidance</b></p> <p>Mutual Societies are organisations owned by their members and managed for their benefit, such as a building society, friendly society, credit union, registered society (including, co-operative societies, industrial and provident societies, community benefit societies, which are registered legal entities and hold limited liability).</p>                                                                                                                                                                                                                                                                                                                                                                                                                     |
|                  |                                                                                                                 | <p><b>Points for Consideration</b></p> <p>Dispersed ownership of an Entity can lead to lower risk by reducing the chances of a small number of individuals having substantial control of the Entity. Understanding the membership will be an important factor in the risk assessment performed by the Correspondent.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 6<br>c  | <b>Government or state Owned by 25% or more</b>                                                                 | <p><b>Points for Consideration</b></p> <p>The Correspondent's assessment of the jurisdictional commitment to FCC and related laws, rules and regulations will affect how it views government ownership. The manner in which the government exercises control over an organisation may also be a consideration, for example whether the government holds ownership only or has managerial/executive positions within the organisation. The types of services offered by your Entity could be presented as a potential mitigant, when/if these entities open a correspondent banking account for transactions on behalf of a government/state owned body/state agency, as opposed to commercial transactions for third party customers (i.e. Central Banks, treasury vs commercial payments).</p> |
| Question 6<br>d  | <b>Privately Owned</b>                                                                                          | <p><b>Guidance</b></p> <p>If one of the previous types of ownership does not apply (as noted in Questions 6 a, b or c), select privately owned.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|                  |                                                                                                                 | <p><b>Points for Consideration</b></p> <p>Privately Owned entities can present additional risk due to a potential lack of transparency. Some jurisdictions will require verification of parties with significant ownership and control. It is important for the Correspondent to understand and have transparency with respect to the ownership structure and individuals with significant ownership and control of your Entity.</p>                                                                                                                                                                                                                                                                                                                                                            |
| Question 6<br>d1 | <b>If Y, provide details of shareholders or Ultimate Beneficial Owners (UBOs) with a holding of 10% or more</b> | <p><b>Guidance</b></p> <p>Provide immediate and ultimate shareholders (legal entities and natural persons) or UBOs, including full names and percentage of ownership.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

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|            |                                                                                                  | <p><b>Points for Consideration</b></p> <p>Shareholders and UBOs may have direct influence over the operation and the FC control programme of an Entity and therefore, it is necessary for the Correspondent to understand who these parties are and to identify relevant information about them. UBOs may pose different levels of risk according to who they are, for example, whether these parties are Politically Exposed Persons (PEPs). While this may not be an adverse risk, the Correspondent may need to obtain additional information to assess the risk accurately. <a href="#">Refer to Wolfsberg Guidance on PEPs.</a></p> <p>UBOs who individually do not hold 10% or more but do when aggregated hold 10% or greater (family members, business partners, etc.) should be disclosed. Legal documentation to verify ownership information and beneficiaries of trusts and other legal arrangements should be provided. Remember to provide the necessary information with completeness and accuracy.</p> <p>To better understand the risks associated to Beneficial Ownership, refer to the <a href="#">FATF Guidance on Transparency and Beneficial Ownership.</a></p>                                                                                                                                                                                                                                 |
| Question 7 | <b>% of the Entity's total shares composed of bearer shares</b>                                  | <p><b>Guidance</b></p> <p>Are any share certificates of your Entity are issued in bearer form? In other words, is ownership signified by possession of physical certificates issued to "bearer"?</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|            |                                                                                                  | <p><b>Points for Consideration</b></p> <p>Legal entities which have issued ownership shares in bearer format will present a higher risk, as ownership will belong to whoever is physically holding the share certificates. Legal entities with bearer shares can change legal ownership quite easily, with minimal-to-no controls. A crucial part of the Correspondent's FC controls is based on knowing the customer, knowing who the bank is doing business with. When an Entity is organised with a high percentage of its ownership in bearer share format that might not be possible, as the UBO(s) can change from one day to the next. Therefore, if the Entity has bearer sharers that form part of the ownership structure, consider what controls are in place that may bring the Correspondent additional comfort, such as having the bearer shares in custody with a regulated financial services provider. Consider that the Correspondent will need to understand the current ownership, especially if the Correspondent is in a jurisdiction that requires specific due diligence on UBOs. Not all jurisdictions allow the creation of entities with the ability to issue bearer shares. Also, while an Entity might not currently have bearer shares issued, if the legal structure/formation documents allow for bearer shares to be issued, this may need to be explained to the Correspondent.</p> |
| Question 8 | <b>Does the Entity, or any of its branches, operate under an Offshore Banking License (OBL)?</b> | <p><b>Guidance</b></p> <p>OBL means a license to conduct banking activities which, as a condition of the license, prohibits the licensed Entity from serving the citizens, or using the local currency, of the country which issued the license.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

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|                 |                                                                                                    | <p><b>Points for Consideration</b></p> <p>A bank or bank branch with an OBL is prevented or restricted from doing business with the citizens of the country which issued its license and is also less likely to receive as close a level of scrutiny from the regulators in the country which issued its OBL. Further, in certain jurisdictions the process for obtaining an OBL is less stringent than the process for a regular license. A bank with an OBL will by definition draw most of its customers from outside its licensing jurisdiction which will give it a different risk profile to local. The combination of lighter regulation, less frequent oversight and an offshore customer base introduces a variety of additional risk elements that need to be evaluated thoroughly. Note that a bank that is part of a larger financial group may have some of its locations operating under OBLs and these may pose a lower level of risk than standalone banks with an OBL. If the Entity is a standalone bank with an offshore license they will need to provide extensive due diligence information to the Correspondent. If your Entity is affiliated with a major banking group that is subject to comprehensive regulatory oversight it will need to describe that oversight. Consider how controls may be demonstrated in relation to branches operating under an OBL, including how they are relevant to the specific additional risks the jurisdiction may pose.</p> |
| Question 8<br>a | <b>If Y, provide the name of the relevant branch/es which operate under an OBL</b>                 | <p><b>Guidance</b></p> <p>Include any branches or entities which operate under an OBL and country of registration and primary address.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Question 9      | <b>Does the Bank have a Virtual Bank License or provide services only through online channels?</b> | <p><b>Guidance</b></p> <p>A virtual banking license means a license to conduct banking activities without any physical premises. Offering banking services through online channels enables customers to conduct banking transactions without walking into a physical facility.</p> <p><b>Points for Consideration</b></p> <p>The greatest risk inherent in virtual banking institutions and on-line banking services lies in the potential anonymity of the parties conducting the transactions. Therefore, it is important to demonstrate that the Entity has implemented appropriate controls including Customer Due Diligence (CDD), record-keeping and monitoring and reporting.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 10     | <b>Name of primary financial regulator/supervisory authority</b>                                   | <p><b>Guidance</b></p> <p>Indicate the regulator with primary responsibility for oversight of FCC.</p> <p><b>Points for Consideration</b></p> <p>If there is more than one primary regulator, provide all names as this will provide material information to the Correspondent to assess the oversight to which the Entity is subject.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

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| Question 11   | <b>Provide Legal Entity Identifier (LEI) if available</b>                                               | <p><b>Guidance</b><br/>An LEI is a 20-character alpha numeric identifier that identifies distinct legal entities that engage in financial transactions. It is defined by the International Organization for Standardization (ISO) 17442.</p>                                                                                                                                                                                                          |
| Question 12   | <b>Provide the full legal name of ultimate parent (if different from the Entity completing the DDQ)</b> | <p><b>Guidance</b><br/>Provide the name of the natural or legal person that holds/controls majority voting power over the Entity.</p>                                                                                                                                                                                                                                                                                                                 |
| Question 13   | <b>Jurisdiction of licensing authority and regulator of ultimate parent</b>                             | <p><b>Guidance</b><br/>If applicable, provide the country in which the primary financial regulator/supervisory authority of the ultimate parent is established.</p>                                                                                                                                                                                                                                                                                   |
|               |                                                                                                         | <p><b>Points for Consideration</b><br/>The perceived effectiveness of the ultimate parent's jurisdiction may impact how the Correspondent assesses risk. Refer to National Risk Assessments or <a href="#">FATF Mutual Evaluation Reports</a> on jurisdictions that present FCC weaknesses and, where relevant, subsequent recommendations/action plan items.</p>                                                                                     |
| Question 14   | <b>Select the business areas applicable to the Entity</b>                                               | <p><b>Guidance</b><br/>This section refers to the areas of business offered by your Entity as the Respondent. Select all that apply.</p>                                                                                                                                                                                                                                                                                                              |
|               |                                                                                                         | <p><b>Points for Consideration</b><br/>The more complex your Entity's business is, the more specific, tailored and robust controls will be expected. Consider where activities may pose higher risks and how your existing controls are able to mitigate them. Different types of business services provided will bring different FC risks associated with the activity and will require specific controls for each type of activity and product.</p> |
| Question 14 k | <b>Other (please explain)</b>                                                                           | <p><b>Guidance</b><br/>Specify any other services which have not been covered in Questions 14 a-j above or provide any clarifications that may be required.</p>                                                                                                                                                                                                                                                                                       |
|               |                                                                                                         | <p><b>Points for Consideration</b><br/>Consider the potential FC risks the other types of activities may pose and be prepared to discuss and demonstrate your Entity's controls in place to mitigate such risks.</p>                                                                                                                                                                                                                                  |

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| Question 15   | <b>Does the Entity have a significant (10% or more) portfolio of non-resident customers or does it derive more than 10% of its revenue from non-resident customers? (Non-resident means customers primarily resident in a different jurisdiction to the location where bank services are provided)</b> | <p><b>Guidance</b><br/>Indicate whether your Entity has non-resident customers whose combined revenue represents 10% or more of the total revenue or if the number of non-resident customers is 10% or more of the total customer base.</p> <p><b>Points for Consideration</b><br/>In general, conducting due diligence on customers resident in other jurisdictions is more involved and complex than on local entities as these may pose additional risks. A significant non-resident customer base can present risks if appropriate controls and processes do not exist. Make sure that the Correspondent is aware of the nature of this customer base and any particular characteristics of its activity. Entities which have a significant portion of their customers or revenues from non-resident customers could present higher risk. It will be important for the Correspondent to understand why a large number of customers or revenues are non-resident, and to achieve a comfort level that the controls in place are proportionate to mitigate the risks.</p> |
| Question 15 a | <b>If Y, provide the top five countries where the non-resident customers are located</b>                                                                                                                                                                                                               | <p><b>Guidance</b><br/>List the top five countries where the non-resident customers are located.</p> <p><b>Points for Consideration</b><br/>Based on the perceived level of effective implementation of international standards, certain jurisdictions will present higher risks from a FC risk perspective. The Correspondent might have internal policies or risk appetite statements related to certain countries and before providing correspondent banking services would need to ensure your customer base is in line with its risk appetite and policies.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 16 a | <b>Number of employees</b>                                                                                                                                                                                                                                                                             | <p><b>Guidance</b><br/>Include the number of full-time employees of the Entity and any applicable branches. The Entity should aim to include the most recent number available.</p> <p><b>Points for Consideration</b><br/>The number of employees provides a view of the size and scale of the Entity as an element of the Correspondent's risk assessment.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Question 16 b | <b>Total Assets</b>                                                                                                                                                                                                                                                                                    | <p><b>Guidance</b><br/>Provide the Total Assets per the Entity's latest audited balance sheet, including any applicable branches. The Entity should aim to include the most recent figure available.</p> <p><b>Points for Consideration</b><br/>Total assets provide a view of the size of the business as an element of the Correspondent's risk assessment.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |



| 2. Products and Services |                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
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| Question 19              | <b>Does the Entity offer the following products and services:</b> | <p><b>Guidance</b></p> <p>For each of the products and services mentioned below, indicate whether your Entity offers these products and services directly to their customers. Do not include products or services where the Entity acts only as an Introducer or Intermediary.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|                          |                                                                   | <p><b>Points for Consideration</b></p> <p>The products in this section are generally identified and recognised as presenting higher FC risks. If your Entity offers these products to its customers, then this is relevant to the Correspondent in determining the risk that the relationship may pose. The extent and effectiveness of the controls that are in place to mitigate the risks of these activities will be crucial, so be upfront with additional information when having a bi-lateral discussion. High risk does not necessarily imply an element for concern, but it does mean that the Entity must have adequate controls in place to mitigate the risks which products and services may pose.</p>                                                                                                              |
| Question 19 a            | <b>Correspondent Banking</b>                                      | <p><b>Guidance</b></p> <p>If the Entity answers 'NO' the Questionnaire remains relevant as the Entity may be obtaining correspondent banking services as a Respondent, rather than providing Correspondent Banking services to other Financial Institutions (FIs). Go to Question 19 b onwards.</p> <p>For further information on Correspondent Banking, refer to the definition in the CBDDQ Glossary and the <a href="#">Wolfsberg Correspondent Banking Principles</a>.</p> <p>The Wolfsberg Group is aware that there are different definitions of Correspondent Banking. The objective of the CBDDQ is to provide a consistent set of questions to be used during Correspondent Banking due diligence and Risk Assessments to identify potential FC risks. If in doubt, The Wolfsberg Group recommends using the CBDDQ.</p> |
|                          |                                                                   | <p><b>Points for Consideration</b></p> <p>When correspondent banking services are provided to a Respondent it opens the Correspondent to a number of risks, as the services provided include the flow of funds of another FI through the Correspondent's accounts. Cross border correspondent banking introduces risks such as: jurisdictional risk (that the Correspondent and their Respondent customers are subject to different regulatory requirements), transparency risk (due to the added numbers of parties), and potential downstream or nested risk, among others. See Question 19 a1b below for more detail on downstream/nesting in Correspondent Banking Entity.</p>                                                                                                                                               |

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| Question<br>19 a1a | <b>Does the Entity offer Correspondent Banking services to domestic banks?</b>                                          | <p><b>Guidance</b><br/>Indicate whether you Entity provides correspondent banking services to banks located in the same jurisdiction as the Entity.</p> <p><b>Points for Consideration</b><br/>The risk of activity flowing to the Correspondent Bank from your Entity must be mitigated and managed by your controls. If your Entity provides Correspondent Banking services to other FIs, and that activity flows through the Correspondent account, the risk of such activity is initially managed by the Respondent FI customers' controls and then by you. Since the Correspondent Bank's due diligence was performed on you, rather than on your underlying FI customer (Know Your Customer (KYC) rather than Know Your Customer's Customer (KYCC)), it is important for the Correspondent Bank to understand whether the activity that flows through the account is from you, your FI customer(s) or your customer's customer.</p>                                                                                                                                                                                                                                                                                 |
| Question<br>19 a1b | <b>Does the Entity allow domestic bank customers to provide downstream relationships?</b>                               | <p><b>Guidance</b><br/>Where you provide correspondent banking services to FIs, do you allow those FIs to provide correspondent banking to other FIs and which flow through the Entity?<br/>A downstream correspondent (often referred to as "nested") relationship occurs when a Respondent Bank receives correspondent banking services from a Correspondent and itself provides correspondent banking services to other FIs in the account it maintains with its Correspondent.</p> <p><b>Points for Consideration</b><br/>If your Entity offers correspondent banking services to domestic FI customers, do you permit those FIs to offer correspondent banking services themselves? If so, you should be prepared to discuss additional controls in place for this activity. The risk in this activity is that the Correspondent would be at least one step further removed from the organisation that has conducted due diligence on the transacting party, and this can increase the risk of the activity, due to lack of visibility of the parties involved and the potential risks associated to them. Consider this exposure when providing this service and make it clear to the Correspondent when asked.</p> |
| Question<br>19 a1c | <b>Does the Entity have processes and procedures in place to identify downstream relationships with domestic banks?</b> | <p><b>Points for Consideration</b><br/>The risk associated with downstream relationships is that the Correspondent Bank is further removed from the underlying customer relationship. In terms of downstream activity, the Correspondent is further dependent on the controls of the downstream bank. In this and in other risk areas, if suitable controls are not in place, then there may be higher risk activity flowing through the accounts than initially expected. This poses potential additional FC risks both for you and for the Correspondent. Where higher risk activity is taking place without having been identified, the control environment may not be as robust as required.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

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| Question 19 a1d | <b>Does the Entity offer correspondent banking services to foreign banks?</b>                                          | <p><b>Guidance</b><br/>Indicate whether your Entity provides correspondent banking services to banks outside the jurisdiction of the Entity.</p> <p><b>Points for Consideration</b><br/>This is a similar type of activity to that set out in Question 19 a1a. If your customers are located in different jurisdictions, they may not be subject to the same regulatory requirements as you and may thus pose a different level of risk. Further, cross border correspondent banking introduces jurisdictional risk (that the Foreign Bank’s customers are subject to different regulatory requirements than the Respondent), transparency risk (due to added numbers of parties) and potential downstream/nested risk for the Correspondent. Additionally, a different jurisdiction may have different business practices and pose different FC risks.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Question 19 a1e | <b>Does the Entity allow downstream relationships with foreign banks?</b>                                              | <p><b>Points for Consideration</b><br/>As mentioned under Question 19 a1b, the risk in this activity is that the Correspondent would be at least one step further removed from the organisation that it has conducted due diligence on, the transacting party, and this can increase the risk of the activity, due to lack of visibility of the parties involved and the potential risks associated to them. Additionally, when the activity is performed with foreign banks, they may be subject to a different regulatory environment, which could be less robust than the Respondent’s and may also have different business practices in their jurisdiction. Consider the exposure when providing this service and make it clear to the Correspondent when asked.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 19 a1f | <b>Does the Entity have processes and procedures in place to identify downstream relationships with foreign banks?</b> | <p><b>Points for Consideration</b><br/>As mentioned under Question 19 a1c, the risk associated with downstream relationships is that the Correspondent Bank is further removed from the underlying customer relationship. In instances of downstream activity, a bank is further dependent on the controls of the downstream bank. When the Respondent’s customer is based in another jurisdiction, the risk exposure of the Correspondent Bank may change, due to potential lower regulatory requirements and different business practices. Lack of processes to identify and manage this type of relationship would generate an unknown level of risk which most Correspondent Banks would not be able to accept.<br/>Downstream activity also raises the question of ‘why’ and there should be a reasonable explanation of why such relationships exist. There are a number of reasons for such activity, such as that the Respondent’s FI customer is too small or has too low levels of activity to justify a direct relationship. However, the Correspondent will need to make its own assessment of the control environment to manage downstream activities. Ensure the responses demonstrate effective processes to identify and manage such relationships, during the tenure of the relationship.</p> |

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| Question 19 a1g | <b>Does the Entity offer correspondent banking services to regulated Money Services Businesses (MSBs)/Money Value Transfer Services (MVTs)?</b> | <p><b>Points for Consideration</b></p> <p>Money Service Business (MSBs) and Money or Value Transfer Services (MVTs) act as intermediaries between their customers/counterparties, as the underlying transactors, and the Respondent. MSBs and MVTs may be subject to different regulatory requirements and may thus pose a different level of risk than the Respondent. It is important for you as the Respondent to understand the appropriateness of the MSBs'/MVTs' control environment including the level of payment transparency before the activity is routed to the Correspondent.</p> <p>What measures have been taken to understand the FCC programmes of the MSB/MVTs customers? How do you ensure that you (and your Correspondent) have adequate understanding of, and visibility into, the names of the originators and beneficiaries of payment instructions? Provide details regarding steps taken to gain comfort in providing services to these entities, such as additional controls, training and monitoring.</p> |
| Question 19 a1h | <b>Does the Entity allow downstream relationships with MSBs, MVTs, or Payment Service Providers (PSPs)?</b>                                     | <p><b>Points for Consideration</b></p> <p>This is a similar type of activity to that set out in Questions 19 a1a and 19 a1b. Consider the risk the MSB/MVTs/PSP customers poses when they have MSB/MVTs/PSP customers and how appropriate controls have been implemented in order to manage the risk. The controls should include an assessment of the MSB/MVTs/PSP controls to assess their downstream customer risk and their regulatory environment. The same risk your Entity had to understand and manage, will become part of the risks to which the Correspondent will be exposed. The risk of activity flowing to the Correspondent Bank from the MSBs/MVTs/PSP customers must be mitigated and managed by your controls.</p>                                                                                                                                                                                                                                                                                                 |
| Question 19 a1i | <b>Does the Entity have processes and procedures in place to identify downstream relationships with MSBs/MVTs/PSPs?</b>                         | <p><b>Points for Consideration</b></p> <p>As mentioned in Question 19 a1f, a lack of processes to identify and manage this type of relationship would generate an unknown level of risk which most Correspondent Banks would not be able to accept. MSBs and MVTs pose additional risk for the Correspondent and may prove to be too risky for some.</p> <p>Ensure you can demonstrate effective processes to identify and manage such relationships, in a sustainable manner. An upfront and clear disclosure of such relationships will aid in the Correspondent understanding your Entity's business, including the rationale for using Correspondent accounts for MSB/MVTs relationships.</p>                                                                                                                                                                                                                                                                                                                                     |

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| Question 19 b | <b>Cross-Border Bulk Cash Delivery</b> | <p><b>Points for Consideration</b></p> <p>When criminal activity generates large quantities of physical cash, criminals need to find ways to place that cash into the banking system. Banks that provide bulk cash services (especially when buying cash), need to understand the source of that cash in order to ensure that it does not stem from the proceeds of crime (e.g. drug sales or smuggling). If the Respondent offers cross border bulk cash services and some, or all, of the settlement activity flows through the Correspondent, the Correspondent may ask for a description of the controls around this business and require an explanation of the rationale for specific transactions.</p>                                                                                                                                              |
| Question 19c  | <b>Cross-Border Remittances</b>        | <p><b>Points for Consideration</b></p> <p>Cross border remittances can be used for legitimate and illegitimate purposes. Because cross border volumes are so large, it can be hard to identify the ‘good’ from the ‘bad’. Thus, it is important to understand, and when asked by the Correspondent, be able to provide the rationale for such activity and the appropriate controls in place. Understanding the purpose of the payment, the ability to verify the source of funds, appropriate monitoring scenarios are examples of controls that would help the Correspondent understand the nature of risks associated with the cross-border activities.</p>                                                                                                                                                                                            |
| Question 19 d | <b>Domestic Bulk Cash Delivery</b>     | <p><b>Points for Consideration</b></p> <p>Similar risks to cross border cash activity, attention must be paid to where in the country cash is being generated/used and why.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Question 19 e | <b>Hold Mail</b>                       | <p><b>Points for Consideration</b></p> <p>If a customer asks that the bank hold their mail rather than send it out to them in the normal way, it can limit a bank’s ability to get in touch with that customer. It also raises questions about why such special treatment is necessary. It can be an indication of a desire to limit transparency and circumvent existing controls.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 19 f | <b>International Cash Letter</b>       | <p><b>Points for Consideration</b></p> <p>Cash Letter allows a respondent to send bulk cheques to its Correspondent for clearing. As controls around wire transfers have steadily increased, the bulk clearing of physical cheques continues to pose risks due, in part, to the inherently manual processes and the difficulties in identifying the depositor of the cheques and monitoring the activity effectively. In the case of correspondent banks, it is not possible for the clearing bank to know every depository customer of the correspondent bank that may present a check for deposit. Some red flags relating to Cash letter items have been seen with blank payee lines, cheques bearing stamps or codes indicating possible use by third parties, multiple sequentially-numbers cheques to the same payee and in repetitive amounts.</p> |

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| Question 19 g | <b>Low Price Securities</b>                                                                                     | <p><b>Points for Consideration</b></p> <p>Low priced securities (typically under five US Dollar a share and often referred to as ‘penny stocks’) tend to experience higher price volatility than other securities and have been exploited by criminals in ‘pump and dump’ schemes to drive up the price of the security by hyping its potential, and then selling at a higher price, leaving investors with losses. Banks that provide securities clearing and custody services need to be alert to the risks posed by increases in trading of such securities to ensure that they are not unwittingly moving money connected to securities fraud.</p>                                                                                                                                                                                                                      |
| Question 19 h | <b>Payable Through Accounts</b>                                                                                 | <p><b>Points for Consideration</b></p> <p>A payable through account involves a Respondent Bank opening an account with a Correspondent and then providing its customers with cheque books or other means of drawing directly on the respondent’s account with the Correspondent. The risk is that the Respondent is allowing its customer direct access to their account with the Correspondent, an arrangement which is less transparent and imposes heightened risk. This heightened risk is a result of the Respondent not having direct oversight of the transactions and poses risk to the Correspondent who does full transparency into the true originator. This direct access differs from downstream activity where the Respondent are routing the transaction to the Correspondent. For further information, refer to <a href="#">FATF Recommendation 13</a>.</p> |
| Question 19 i | <b>Payment Services to non-bank entities who may then offer third party payment services to their customers</b> | <p><b>Points for Consideration</b></p> <p>Providing payment services to non-bank entities, such as those listed in Questions 19 i2-i4, can present additional risk especially if they act as intermediaries on behalf of their underlying customers. It is important for you as the Respondent to understand the appropriateness of the entities’ control environment including the level of payment transparency before the activity is routed to the Correspondent.</p>                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 19 j | <b>Private Banking</b>                                                                                          | <p><b>Points for Consideration</b></p> <p>Private banking is generally viewed as posing potentially higher levels of FC risks due to the larger value of transactions performed on behalf of individuals and the potential for such wealth or transactional funds to have been obtained by illicit means. Consider the controls you have in place to understand and monitor the source of funds and wealth of Private Banking customers, including appropriate and effective controls to mitigate the risks of this activity. Specify whether the customer base is solely domestic (in same jurisdiction as branch offering service) or whether the customer base is outside that jurisdiction.</p> <p>For more information, refer to the <a href="#">Wolfsberg AML Principles for Private Banking</a>.</p>                                                                 |

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| Question 19 k | <b>Remote Deposit Capture (RDC)</b>                        | <p><b>Points for Consideration</b></p> <p>Unlike the physical deposit of cheques, RDC allows the deposit of images via a scanner that is provided to the customer. Without appropriate controls on the location of the scanner, it is possible for deposits to be made from locations other than the customer's offices and by parties other than the customer. Additionally, the use of RDC prevents the identification of physical red flags, such as instruments which are visibly altered or contaminated with criminal substances. Cross-border RDC poses higher risk than purely domestic activity.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Question 19 l | <b>Sponsoring Private Automated Teller Machines (ATMs)</b> | <p><b>Points for Consideration</b></p> <p>ATMs that are not connected to a bank's network pose potential FC risks, in that they could be used to recirculate cash generated from illicit activities. Appropriate controls should be in place to understand both the source and use of the cash flowing through ATMs. If such products are provided and funds generated from this activity will flow through the Correspondent's account, it increases the FC risk.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 19 m | <b>Stored Value Instruments</b>                            | <p><b>Points for Consideration</b></p> <p>There are a wide variety of stored value cards/instruments available, ranging from relatively low value cards/instruments that can be used at one merchant only to those that can be loaded or reloaded anywhere, including not necessarily via a bank account. Such activity poses increased FC risks to the Correspondent if the lack of traceability of funds opens this type of product to potential criminal activities. E-wallets can be susceptible to Transaction Laundering, digital evolution of money laundering, where undisclosed businesses use approved merchants' payment credentials to process payments for unknown products and services, typically illicit or illegal. Activity may not be easy to detect because of potential complexity in the payment chain.</p> <p>Closed loop stored value instruments with low load values may pose minimal risk while network branded reloadable cards or e-wallets pose high risks. Be prepared to explain the type of stored value instruments supported and the controls in place. If services are provided to E-wallet providers be prepared to explain how the controls related to the activity and how due diligence on these customers addresses the unique risks posed.</p> <p>For more information, refer to the <a href="#">Wolfsberg Guidance on Prepaid and Stored Value Cards</a>.</p> |

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| Question<br>19 n | <b>Trade Finance</b>  | <p><b>Points for Consideration</b></p> <p>Trade-Based Money Laundering (TBML) is viewed by FATF and regulatory authorities as posing higher risk for banks when providing trade finance products. Appropriate controls should be in place for managing such activity. Documentary Trade Finance is a challenging activity to monitor from an FCC point of view, as many elements of the transactions are paper based. Consider controls in relation to this specific product and explain to the Correspondent how such risks are addressed.</p> <p>For more information, refer to the <a href="#">Trade Finance Principles</a> published by the Wolfsberg Group, the International Chamber of Commerce (ICC) and the Bankers Association for Finance and Trade (BAFT).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Question<br>19 o | <b>Virtual Assets</b> | <p><b>Points for Consideration</b></p> <p>This is a rapidly evolving space driven by bank and non-bank participants. An FI engaging as a virtual asset service provider (as an administrator, exchanger, technology company, custodian, or payment processor) is exposed to FC risks which materialise, at times, differently from the more traditional bank products. Non-bank participants may not be subject to the same regulatory requirements as banks which may increase FC risks. The primary risks associated with virtual or crypto currencies relate to customer identification, payment transparency (including pseudonymous names) and traceability. As this is a space with on-going changes to the products, complexity of technologies, regulatory and industry appetite, it potentially increases FC risks further, as banks and FIs try to keep up with changes and what is expected from them.</p> <p>Jurisdictions have different approaches to this evolving topic. Some are supportive and have embraced the technology. Others have imposed restrictions and even prohibited the product. With that in mind, if this product is provided, the Correspondent will need to understand what controls are in place to ensure compliance with regulatory requirements, manage FC risk and ensure transparency. The Correspondent will want to know the nature of the activity (i.e. virtual/crypto vs fiat), whether settlement of such activity takes place over the account with the Correspondent and understand the controls in place to mitigate specific FC risks associated to this product.</p> <p>For more information, refer to the <a href="#">FATF Guidance for a Risk-Based Approach to Virtual Currencies</a>.</p> |



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| Question 19 p                                                                                      | <b>For each of the following please state whether you offer the service to walk-in customers and if so, the applicable level of due diligence:</b> | <b>Points for Consideration</b><br>‘Walk-ins’ (i.e. someone who walks into your Entity and asks to make a transaction without establishing a relationship or opening an account) are not always subject to the same level of due diligence when compared to existing customers, so activity on their behalf may not have the same level of controls as the rest of the customer base. The possibility of no or little due diligence performed on such customers is one of the key sources of FC risk, limiting the ability to monitor, screen and understand this type of activity. If services to ‘walk-ins’ are offered, consider the risks inherent to those services and the controls in place to mitigate them. If asked by the Correspondent, such controls must be demonstrated in a sustainable manner, including the rationale for providing this service and how to address regulatory compliance requirements. |
| Question 19 q                                                                                      | <b>Other high-risk products and services identified by the Entity (please specify)</b>                                                             | <b>Points for Consideration</b><br>Provide details of any other higher risk products that may impact the risk of activity flowing through the Correspondent.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>3. Anti-Money Laundering (AML), Counter-Terrorist Financing (CTF) &amp; Sanctions Programme</b> |                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Question 22                                                                                        | <b>Does the Entity have a programme that sets minimum AML, CTF and Sanctions standards regarding the following components:</b>                     | <b>Points for Consideration</b><br>A clearly defined and documented FC programme is the cornerstone of overall FC controls for an organisation. The programme needs to be documented and include all programme elements, clearly defining the scope in terms of which organisational entities and business units it applies to. Without a clearly defined and documented FC programme, it will not be possible to ensure that controls and associated procedures are implemented or that internal staff or third parties are aware of the standards that apply.                                                                                                                                                                                                                                                                                                                                                           |
| Question 22 a                                                                                      | <b>Appointed Officer with sufficient experience/expertise</b>                                                                                      | <b>Guidance</b><br>“Sufficient experience/expertise” of the Appointed Officer is based on local regulatory expectations and industry standards in the jurisdiction where the Entity is based. Consider the type of compliance roles previously undertaken and length of time that the individual has worked in the financial services industry. Your Entity may have appointed the same person as both the FC and Sanctions Officer or have a person for each role.                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|                                                                                                    |                                                                                                                                                    | <b>Points for Consideration</b><br>It is necessary to appoint an identified Officer who has senior responsibility, sufficient seniority and autonomy to manage the FCC programme. Without an appointed officer, accountability for FC risk management may become diluted. The appropriate level of expertise, proportionate to the size and complexity of your Entity’s business, is essential for an effective programme. The level of experience and expertise required should reflect the scale, complexity and FC and Sanctions risk of the FI’s business. The Correspondent may ask for information on the credentials of the appointed officer.                                                                                                                                                                                                                                                                     |

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| Question 22 b | <b>Adverse information Screening</b> | <p><b>Points for Consideration</b></p> <p>Also known as ‘negative news, adverse information may come by way of public sources, connections within the industry, law enforcement agencies, among others, and is defined as information with potential negative connotation which may impact the view on existing customer. The programme should define what is considered to be adverse media and set out an approach to reviewing it and the risk appetite for dealing with negative information and the governance approach to approval and exception handling. Documenting the identification, investigation and decision made are essential in terms of evidencing the handling of the information.</p>                                                                                                                                                                                                                          |
| Question 22 c | <b>Beneficial Ownership</b>          | <p><b>Guidance</b></p> <p>Beneficial ownership refers to the ownership structure of legal entities and the UBO is the natural person(s) (i.e. one or more individuals) who benefit(s) from the legal Entity.</p> <p><b>Points for Consideration</b></p> <p>The programme should define the levels of direct and underlying beneficial ownership to be identified for different customer types and risk levels. Companies may be formed to hide the identity of the beneficial owner(s) (i.e. shell companies, private investment companies and trusts) but more broadly it is necessary to understand the ownership of legal entities in order to understand the risk they pose. Potential risk factors include geographic location of the owner, PEP or Sanctions exposure and source of wealth considerations.</p> <p>For more information, refer to the <a href="#">Wolfsberg Source of Wealth and Source of Funds FAQs</a>.</p> |
| Question 22 d | <b>Cash Reporting</b>                | <p><b>Guidance</b></p> <p>Indicate whether your Entity has cash reporting requirements. Only utilise the drop-down option “not applicable” if there are regulatory reasons for not reporting (i.e. there is no regulatory requirement to report cash transactions at any threshold) or operational reasons (e.g. the Entity does not handle cash). Utilise the free-text box under Question 29 to provide further information if needed.</p> <p><b>Points for Consideration</b></p> <p>If there is a cash reporting obligation in any of your Entity’s locations, the programme should document the standards to be followed.</p>                                                                                                                                                                                                                                                                                                   |
| Question 22 e | <b>CDD</b>                           | <p><b>Points for Consideration</b></p> <p>Understanding customers’ information such as location of residence/activity, associated persons, type of activities, source of funds and wealth and purpose of the account will serve as the basis of an effective FCC programme, as it will provide essential information to use in the monitoring, screening and risk assessment of the business and protect the Respondent and the financial system from illicit activities. A lack of understanding of your customers’ personal details will lead to an ineffective FCC programme, as it does not give the necessary information to monitor, screen and assess customers’ potential risks.</p>                                                                                                                                                                                                                                        |

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| Question<br>22 f | <b>EDD</b>                     | <p><b>Points for Consideration</b></p> <p>EDD is the gathering and analysis of additional due diligence information, tighter controls related to monitoring of transactions as well as more regular refresh of the account details. It is required when a customer presents potential elevated FC risks. Examples include customers whose source of income is from high-risk activities, customers with a nexus to sanctioned countries or are sanctioned themselves, complex ownership structures and those classified as PEPs. Most FIs and regulatory authorities around the world require such controls to be implemented, and more likely than not, so will the Correspondent. EDD requirements need to be defined, tailored to your Entity's specific risk attributes and implemented as part of your FCC programme. It must also be applied consistently to all customers that are classified as such, from the account opening to the ongoing maintenance of accounts and the relationship. Consistent and effective EDD controls implementation protects not only the Entity and the Correspondent, but the financial system worldwide.</p> |
| Question<br>22 g | <b>Independent Testing</b>     | <p><b>Points for Consideration</b></p> <p>To ensure the controls implemented are effective, independent testing is crucial and will mitigate the potential risk of operational failure and help identify potential gaps in the Entity's FCC programme. The FCC programme should be subject to independent testing in addition to Internal Audit as a fundamental pillar of the overall control environment. The programme should map out the responsibilities, approach, frequency and reporting process for the independent testing. Independent does not mean external to the organisation. It may be an internal team with the necessary skill set and independence to the activity been monitored by them. In the absence of an effective and frequent testing programme, a bank will be dependent on relatively less frequent Internal Audits or Regulatory examinations to identify issues which may mean that issues are not discovered in a timely fashion and corrected as part of the FCC programme</p>                                                                                                                                    |
| Question<br>22 h | <b>Periodic Review</b>         | <p><b>Points for Consideration</b></p> <p>Periodic or ongoing reviews of your Entity's customers' CDD and EDD records will support and refresh your understanding of existing customers, ensuring changes are captured and creating the opportunity to identify potential new FC risks. They will provide the necessary information for accurate levels of monitoring, screening and general oversight to several customers. Without accurately understanding the current FC, Sanctions, Fraud or Bribery and Corruption risks the customers pose, the Entity is unable to know and document change in their PEP status, Sanctions status, business activity or potential adverse/negative news in the Media.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Question<br>22 i | <b>Policies and Procedures</b> | <p><b>Guidance</b></p> <p>"Policies" establish the principles to be adhered to in order to ensure effective risk management, aligned to the three Lines of Defence model (refer to the Glossary for further information). "Procedures" support the implementation of the policy by providing detailed requirements that must be followed.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |

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|               |                        | <p><b>Points for Consideration</b></p> <p>Appropriate policies and procedures provide the foundation for a consistent FC programme. Documented policies and procedures are required to implement the defined standards of the programme across the Entity. Appropriate and documented policies and procedures support and enable the consistent execution of the FC programme. Policies and procedures must be all encompassing, across all FC programme elements, all organisational units, all legal entities under the programme and covering all processes, including review functions. Without a documented set of policies and procedures, the Entity will be unable to demonstrate that control processes exist, even if they occur in practice. It will also lead to staff having an inconsistent understanding of the programme and how to implement controls, making it impossible to manage the programme. The lack of documented policies and procedures is considered a high-risk factor.</p>                                                                                                  |
| Question 22 j | <b>PEP Screening</b>   | <p><b>Points for Consideration</b></p> <p>Understanding PEP risks is a requirement under most regulatory regimes. Having an established and effective PEP screening process, including the maintenance of appropriate lists which names are screened against, is an important part of the Entity's CDD and ongoing due diligence process. The presence of such lists and processes will enable the Entity to develop an accurate understanding of customer potential FC risks. Your programme should include definitions of a PEP and include both domestic and foreign PEP definitions, the process standards for identifying and evaluating a PEP, the risk appetite for dealing with a PEP and the governance approach to approval and exception handling. For more information, refer to the <a href="#">Wolfsberg Guidance on PEPs</a>.</p>                                                                                                                                                                                                                                                            |
| Question 22 k | <b>Risk assessment</b> | <p><b>Guidance</b></p> <p>Risk Assessment is an assessment of the inherent money laundering, terrorist financing, sanctions and bribery and corruption risks, present within the Entity (customers, geography, products, channels), as well as the mitigating controls implemented to manage those risks, resulting in a residual risk rating.</p> <p><b>Points for Consideration</b></p> <p>The risk assessment is the opportunity to assess, document, analyse and create an accurate view of existing risks, controls and gaps that may be in place to share with the Entity's senior management. Without such a process, it will be difficult for your Entity to understand its risks and will mean that effective controls are unlikely to be in place. The programme should set out the standards for the risk assessment process, how it is applied, executed, validated, and the implications of the outcomes. Additionally, the risk assessment helps to demonstrate an understanding of the FC risks. Your Entity should have an ongoing process for conducting its risk assessment exercise.</p> |

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| Question 22 l | <b>Sanctions</b>                     | <b>Guidance</b><br>The FC programme must include a Sanctions programme, which should define which sanctions lists would apply, which data elements they would apply to, processes for review and approval, and set a risk appetite for dealing with customers with a sanctions nexus.                                                                                                                                                                                                                                                                                           |
|               |                                      | <b>Points for Consideration</b><br>Transactional activity that is sent or received through the Correspondent on behalf of the Respondent customer must comply with applicable sanctions regulations. There is risk to the you as the Respondent and your Correspondent if impermissible activity flows through the relationship, and this drives the requirement to have appropriate controls in place, including the implementation of relevant Sanctions lists for ongoing screening.                                                                                         |
| Question 22 m | <b>Suspicious Activity Reporting</b> | <b>Guidance</b><br>Banks generally have an obligation to report suspicious or potentially suspicious activity to a designated competent government authority. This is known as Suspicious Activity or Suspicious Transaction reporting.                                                                                                                                                                                                                                                                                                                                         |
|               |                                      | <b>Points for Consideration</b><br>The programme should define clear standards for accuracy, completeness and review processes for suspicious transaction/activity reporting, including having the reports completed within the required timelines.                                                                                                                                                                                                                                                                                                                             |
| Question 22 n | <b>Training and Education</b>        | <b>Guidance</b><br>Training and Education refers to activities delivered either internally or by a third party, designed to educate and develop management and staff, taking into account the Entity's policies and procedures and for which attendance records are maintained.                                                                                                                                                                                                                                                                                                 |
|               |                                      | <b>Points for Consideration</b><br>A comprehensive training and educational programme is necessary to support an effective FCC programme. The programme should define the standards for the Training and Education programme required for management and staff, encompassing both general and specialised training, and including minimum standards of qualification/experience for critical roles, training curriculum, attendance and test pass standards, frequency of attendance and frequency of refresh and any requirements for independent qualification, among others. |

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| Question 22 o | <b>Transaction Monitoring</b>                                                                                                                                                        | <p><b>Guidance</b></p> <p>Post-transaction AML monitoring designed to identify potentially suspicious activity that can be referred for further investigation and possible Suspicious Activity Reporting.</p> <p>Transaction monitoring allows you to implement thresholds on volume, frequency and patterns, among other triggers in an effective and consistent manner. The ability to understand the nature of activity flowing through the Entity (and thus also through the Correspondent) is an essential component of an FCC programme. This is typically performed by some combination of automated and manual processes.</p> |
|               |                                                                                                                                                                                      | <p><b>Points for Consideration</b></p> <p>The programme should define standards for Transaction Monitoring including scope of coverage, tuning, threshold setting, documentation standards, and independent review. Consideration should be given to how Transaction Monitoring outcomes feed back to the understanding of customer risk.</p>                                                                                                                                                                                                                                                                                         |
| Question 23   | <b>How many full time employees are in the Entity's AML, CTF and Sanctions Compliance Department?</b>                                                                                | <p><b>Guidance</b></p> <p>This question excludes contactors and temporary staff and is only concerned with AML and Sanctions full time employees or equivalent in the second line of Defence (second line means independent risk and/or control stewards, such as Compliance, Operations, Risk or Legal, among others). If the first line function (first line means the front-line, customer facing functions) has dedicated staff performing FCC activities, please include this in the response to Question 29.</p>                                                                                                                |
|               |                                                                                                                                                                                      | <p><b>Points for Consideration</b></p> <p>The number of staff dedicated to performing FCC activities should be commensurate with the size and scope of your Entity. The Correspondent will use this information in their assessment of your control environment.</p>                                                                                                                                                                                                                                                                                                                                                                  |
| Question 24   | <b>Is the Entity's AML, CTF and Sanctions policy approved at least annually by the Board or equivalent Senior Management Committee? If N, describe your practice in Question 29.</b> | <p><b>Guidance</b></p> <p>Policy may be maintained at the Entity or the Entity's parent level – answer for the policy applied by the Entity completing the questionnaire. If the Entity's answer is "no" add context in the free text box.</p>                                                                                                                                                                                                                                                                                                                                                                                        |
|               |                                                                                                                                                                                      | <p><b>Points for Consideration</b></p> <p>Senior Management's understanding, awareness and approval of such fundamental policies demonstrates the commitment at Senior Level to the fight against FC. Lack of commitment can lead to insufficient controls and/or resources dedicated to preventing FCs.</p>                                                                                                                                                                                                                                                                                                                          |
| Question 25   | <b>Does the Board receive regular reporting on the status of the AML, CTF and Sanctions programme?</b>                                                                               | <p><b>Guidance</b></p> <p>"Reporting" means Management Information (MI) provided to Senior Management by way of presentation slides, metrics and/or discussions which can be evidenced via minutes.</p>                                                                                                                                                                                                                                                                                                                                                                                                                               |

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|               |                                                                                                               | <p><b>Points for Consideration</b></p> <p>Lack of regular reporting to senior levels of the organisation can lead to a lack of focus on evolving risks across the organisation. To ensure appropriate oversight of the programme, the Board, or the equivalent Senior Management Committee, would need to receive regular reportson status, including metrics, progress on key projects, issues identified, among others. The reporting should be clear, accurate, complete and such that the Board or other committees are able to demonstrate meaningful oversight over the programme. Where updates are provided during governance meetings, a record of the information shared and minutes should be retained to provide evidence of discussion, escalation, understanding of the risks raised and agreed approach taken, to Audit and Regulatory visits.</p> |
| Question 26   | <b>Does the Entity use third parties to carry out any components of its AML, CTF and Sanctions programme?</b> | <p><b>Guidance</b></p> <p>Third party means a different legal Entity. This could be either related or unrelated to the responding Entity (i.e. either another Entity in the same group or an external Entity).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|               |                                                                                                               | <p><b>Points for Consideration</b></p> <p>Any dependency on a third party carrying out components of the FCC programme should be considered here. If a third party is employed to carry out FC prevention related activities, there should be appropriate controls in place to ensure that the third party is performing the tasks correctly. Even if the activity has been delegated, the responsibility for effective controls remains with the Entity.</p>                                                                                                                                                                                                                                                                                                                                                                                                     |
| Question 26 a | <b>If Y, provide further details</b>                                                                          | <p><b>Guidance</b></p> <p>Explain what is done by the third party, its responsibilities, details of the location where the third party is based, if it is regulated and by whom, if it is related to the Entity. Confirm if the third party is subject to the same governance, policies and procedures as your Entity.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|               |                                                                                                               | <p><b>Points for Consideration</b></p> <p>If any third party is used, the programme should additionally map out the scope of work of those third parties and the oversight in place. This should include standards for reporting, independent evaluation, service review, among others. The Entity must ensure that they have appropriate access to relevant information held/maintained by the third party for its own risk management purposes and fulfilment of regulatory requirements, such as requests for information.</p>                                                                                                                                                                                                                                                                                                                                 |
| Question 27   | <b>Does the Entity have a whistleblower policy?</b>                                                           | <p><b>Points for Consideration</b></p> <p>A whistleblower policy is a best practice that promotes an environment where employees know the organisation is open to hearing concerns and complaints and is committed to transparency. Refer to the Glossary for further information.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |

| <b>4. Anti-Bribery &amp; Corruption</b> |                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Question 30                             | <b>Has the Entity documented policies and procedures consistent with applicable Anti-Bribery and Corruption (ABC) regulations and requirements to reasonably prevent, detect and report bribery and corruption?</b> | <b>Guidance</b><br>“Reasonably” refers to the ability to reduce the exposure to bribery and corruption versus the ability to eradicate all risks.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                                         |                                                                                                                                                                                                                     | <b>Points for Consideration</b><br>Having an established and effective policy and procedure framework will demonstrate to the Correspondent that the required controls to identify, investigate and manage bribery and corruption risks are in place at your institution. Without a specific inclusion of ABC elements of an overall FCC programme, bribery and corruption risks may not get the necessary attention within an organisation. This could lead to risks materialising without appropriate mitigation. By creating policies and procedures that are clear, concise and accessible to all employees the foundation for the ABC programme is established. A lack of documented policies and procedures creates the risk that stakeholders (employee, joint ventures and third parties) are unaware of the requirements of the programme. It will also generate inconsistent understanding and implementation of controls, making it impossible to hold employees accountable for their responsibilities. |
| Question 31                             | <b>Does the Entity have an enterprise-wide programme that sets minimum ABC standards?</b>                                                                                                                           | <b>Guidance</b><br>“Enterprise wide” refers to a programme which covers all relevant functions and activities which may be impacted by bribery and corruption risks, including branches and any businesses under your Entity’s responsibility. Refer to the programme which is currently in place – whether it is imposed by your parent company or designed by your Entity.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|                                         |                                                                                                                                                                                                                     | <b>Points for Consideration</b><br>Without an enterprise-wide programme that sets minimum ABC standards there is a risk that the branches and businesses of the Entity will create and comply with inconsistent procedures. For this reason, it is important to ensure that all activities across the organisation adhere to the ABC programme. A programme involves all aspects of the risk control management, from governance to testing of effectiveness, and must include all functions/departments within the organisation. Bribery and Corruption risks may vary among jurisdictions.                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 32                             | <b>Has the Entity appointed a designated officer or officers with sufficient experience/expertise responsible for coordinating the ABC programme?</b>                                                               | <b>Guidance</b><br>Has your Entity assigned accountability for the ABC programme to an appropriate individual?<br>“Sufficient experience/expertise” is based on local regulatory expectations and industry standards in the jurisdiction where your Entity is based. When considering sufficient experience take into account the role(s) previously undertaken by that individual and length of time they have spent in the financial services industry.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |



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|                        |                                                                                                                                                      | <p><b>Points for Consideration</b></p> <p>Without appropriate expertise, your Entity is at risk of not understanding the nature of its bribery and corruption risks and how they are being mitigated. Designating an officer with sufficient ABC expertise and sufficient autonomy and authority to coordinate the ABC programme helps ensure that the programme is managed effectively and it sends a strong message to all stakeholders that ABC compliance is taken seriously by your organisation. Not all organisations require an appointed officer to look at bribery and corruption controls only. Your organisation must assess its requirements and complexity to make such a decision. In some cases, the Money Laundering Reporting Officer (MLRO) is also the ABC appointed officer.</p> |
| Question 33            | Does the Entity have adequate staff with appropriate levels of experience/expertise to implement the ABC programme?                                  | <p><b>Points for Consideration</b></p> <p>An ABC programme without adequate staff or the necessary ABC expertise and resources creates the risk that the programme does not function effectively.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 34            | Is the Entity's ABC programme applicable to:                                                                                                         | <p><b>Guidance</b></p> <p>Select the appropriate option from the drop-down list of answers.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 34 (Choice 1) | Joint ventures                                                                                                                                       | <p><b>Points for Consideration</b></p> <p>Joint venture activity can create liability for your organisation if the joint venture partner(s) engage in bribery and corruption. Making your ABC programme applicable to joint ventures, helps mitigate risk.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 34 (Choice 2) | Third parties acting on behalf of the Entity                                                                                                         | <p><b>Points for Consideration</b></p> <p>Similar to 26, your Entity is responsible for the actions of third parties acting on your behalf, including if the third party engages in bribery and corruption.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 35            | Does the Entity have a global ABC policy that:                                                                                                       | <p><b>Guidance</b></p> <p>Indicate whether you have a global ABC policy that includes the requirements of Questions 35 a-c. For more information, refer to the <a href="#">Wolfsberg Group ABC Programme Guidance</a> for further information</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Question 35a           | Prohibits the giving and receiving of bribes? This includes promising, offering, giving, solicitation or receiving of anything of value, directly or | <p><b>Guidance</b></p> <p>‘Promising’ refers to the action of promising and not acting on the promise of bribe. ‘Offering’ refers to the act of offering bribe, even if not accepted. ‘Giving’ refers to the action of give bribe, solicited or not. ‘Solicitation’ refers to the act of asking for a bribe, even if not received. ‘Receiving’ refers to the act of holding the bribe. ‘Directly or indirectly’ refers to circumstances where the person sending or receiving the bribe is not the direct recipient but the beneficiary of the act of the bribe.</p>                                                                                                                                                                                                                                  |

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|               | <b>indirectly, if improperly intended to influence action or obtain an advantage</b>                                                                                 | <b>Points for Consideration</b><br>Prohibiting the giving and receiving of bribes is the foundation of an ABC programme.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Question 35 b | <b>Includes enhanced requirements regarding interaction with public officials?</b>                                                                                   | <b>Guidance</b><br>Public Officials may include employees, appointees or other representatives of government offices or departments at the national, regional, local or municipal level, or of state-controlled companies, or of international organisations.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|               |                                                                                                                                                                      | <b>Points for Consideration</b><br>Interactions with public officials can be considered to pose a higher risk of bribery and corruption. They may not be considered PEPs under your Entity’s definition as they do not hold a senior position of power. There have, however, been numerous cases where interactions with public officials have created opportunities for bribery and corruption. Such conduct could create significant liability for under applicable anti-corruption laws, such as the U.S Foreign Corrupt Practices Act of 1977 (FCPA) and the U.K. Bribery Act of 2010 (UKBA), amongst others. This risk can be mitigated by establishing procedures governing interactions with public officials as part of the ABC programme. |
| Question 35 c | <b>Includes a prohibition against the falsification of books and records (this may be within the ABC policy or any other policy applicable to the Legal Entity)?</b> | <b>Guidance</b><br>“Books” refers to financial accounts. “Records” refer to any records retained for audit purposes.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|               |                                                                                                                                                                      | <b>Points for Consideration</b><br>Several jurisdictions require relevant organisations to maintain accurate books and records. There could be liability if all business activity is not recorded accurately in your organisation’s books and records. Even if such laws do not exist in the jurisdiction, a formal prohibition against falsification of books and records sends a message to the stakeholders that such conduct will not be tolerated. Your Correspondent will most likely need to comply with such regulations.                                                                                                                                                                                                                  |
| Question 36   | <b>Does the Entity have controls in place to monitor the effectiveness of their ABC programme?</b>                                                                   | <b>Guidance</b><br>“Monitor the effectiveness” refers to testing and oversight that your Entity has implemented to assess compliance with your ABC programme.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|               |                                                                                                                                                                      | <b>Points for Consideration</b><br>Without controls in place to monitor the effectiveness of the ABC programme, including independent audit reviews, there is a risk that your programme does not function as intended, which means bribery and corruption could go undetected. It also refers to records of ABC training, approvals for gift and entertainment, hiring, and third-party delegation, among other components of the ABC programme.                                                                                                                                                                                                                                                                                                  |
| Question 37   | <b>Does the Board receive, assess and challenge regular reporting on the status of the ABC programme?</b>                                                            | <b>Guidance</b><br>“Reporting” means MI which is reported to Senior Management by way of presentation slides, and/or discussions which can be evidenced via minutes.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

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|               |                                                                                                                                         | <p><b>Points for Consideration</b></p> <p>Regular MI on ABC matters for your Entity’s Board and senior management is crucial to establishing a strong ethical tone from the top and across the organisation. It signals to stakeholders that the individuals charged with the overall management of the organisation are concerned with bribery and corruption matters and treat such matters as a priority. Without ongoing, accurate and clear MI to support the Board and senior management’s awareness of existing risks and controls (among other key information), your organisation may not be able to discharge its responsibilities in relation to ABC oversight effectively.</p>                                                                                                            |
| Question 38   | Has the Entity's ABC Enterprise-Wide Risk Assessment (EWRA) been completed in the last 12 months?                                       | <p><b>Guidance</b></p> <p>EWRA Means an ongoing risk assessment performed at the Entity level, looking at inherent risk, mitigating controls and residual risks and their effectiveness.</p> <p><b>Points for Consideration</b></p> <p>The risk assessment is the opportunity to assess, document, analyse and create an accurate view of the existing risks, controls and gaps that exist, to share with senior management. Without such a view, it will be difficult to understand the risks and, most likely, to have effective controls in place. The programme should set out the standards for the risk assessment process, how it is applied, executed, tested, and the implications of the outcomes. Additionally, the risk assessment helps to demonstrate an understanding of ABC risk.</p> |
| Question 39   | Does the Entity have an ABC residual risk rating that is the net result of the controls effectiveness and the inherent risk assessment? | <p><b>Guidance</b></p> <p>Residual risk means the risk that remains after the effectiveness of controls has been applied to the inherent risk your organisation faces.</p> <p><b>Points for Consideration</b></p> <p>By developing a risk rating that is based upon (1) the effectiveness of the ABC controls and (2) the inherent bribery and corruption risks facing the Entity’s branches and businesses, they can identify the highest risk areas and then deploy ABC programme resources to address those highest risk areas.</p>                                                                                                                                                                                                                                                                |
| Question 40   | Does the Entity's ABC EWRA cover the inherent risk components detailed below:                                                           | <p><b>Guidance</b></p> <p>For each sub-question indicate whether your ABC EWRA includes that component.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Question 40 a | Potential liability created by intermediaries and other third-party providers as appropriate                                            | <p><b>Points for Consideration</b></p> <p>As noted under Question 34, your Entity is responsible for the actions of third parties acting on your behalf. Accordingly, risk assessments addressing the use of third parties enable the Entity to evaluate how well the ABC programme mitigates the risks of those third parties.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 40 b | Corruption risks associated with the countries and industries in which the Entity does business, directly or through intermediaries     | <p><b>Points for Consideration</b></p> <p>Certain countries and industries pose greater bribery and corruption risk. By factoring countries and industries in which Entity you do business into the risk assessments, ABC programme resources and controls can be deployed more effectively to mitigate bribery and corruption risk.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                              |

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| Question 40 c | <b>Transactions, products or services, including those that involve state-owned or state-controlled entities or public officials</b> | <p><b>Points for Consideration</b></p> <p>As noted under Question 35 b, interaction with public officials poses significant liability risk under relevant anti-corruption laws. It is important that the risk assessments consider interactions with public officials, state-owned or state-controlled entities, so that your ABC programme can mitigate the risk of bribery and corruption.</p>                                                                         |
| Question 40 d | <b>Corruption risks associated with gifts and hospitality, hiring/internships, charitable donations and political contributions</b>  | <p><b>Points for Consideration</b></p> <p>Activities such as gift giving, entertaining, hiring, and making charitable donations and political contributions can be performed to influence action or obtain an advantage. This activity creates the risk of bribery and corruption liability. Accordingly, risk assessments should evaluate such activities across your organisation to ensure that the ABC programme effectively monitors these types of activities.</p> |
| Question 40e  | <b>Changes in business activities that may materially increase the Entity's corruption risk</b>                                      | <p><b>Points for Consideration</b></p> <p>Changes in business activities may add additional bribery and corruption risks not previously assessed, such as a new investment venture with a government body. Your risk assessment must have the necessary tools to capture and consider such risks in a timely manner.</p>                                                                                                                                                 |
| Question 41   | <b>Does the Entity's internal audit function or other independent third party cover ABC Policies and Procedures?</b>                 | <p><b>Points for Consideration</b></p> <p>By having internal audit or an independent third party with ABC expertise evaluate the organisation's ABC programme, it ensures that the programme is reviewed by an independent Entity. This provides an objective evaluation of the effectiveness of the programme.</p>                                                                                                                                                      |
| Question 42   | <b>Does the Entity provide mandatory ABC training to:</b>                                                                            | <p><b>Guidance</b></p> <p>For each sub-question, indicate whether you provide training to that group.</p>                                                                                                                                                                                                                                                                                                                                                                |
| Question 42 a | <b>Board and senior Committee Management</b>                                                                                         | <p><b>Guidance</b></p> <p>Respond to this question considering the Board responsible for the responding Entity (which may be the Board of the parent).</p>                                                                                                                                                                                                                                                                                                               |
|               |                                                                                                                                      | <p><b>Points for Consideration</b></p> <p>ABC training tailored to the organisation's Board and senior management enhances the Management team's skills and capability to understand bribery and corruption risks, their responsibilities and ensures the ongoing focus on ABC controls.</p>                                                                                                                                                                             |
| Question 42 b | <b>First Line of Defence</b>                                                                                                         | <p><b>Points for Consideration</b></p> <p>ABC training for First Line of Defence employees mitigates bribery and corruption risk because these employees are in the best position to identify and prevent potential bribery and corruption as they have direct visibility into the relevant conduct. Providing mandatory ABC training, ensures that these employees are attuned to these issues.</p>                                                                     |

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| Question 42 c | <b>Second Line of Defence</b>                                                                                    | <p><b>Points for Consideration</b></p> <p>Second Line of Defence employees are usually responsible for identifying suspicious patterns of conduct. Accordingly, providing appropriate ABC training to these employees ensures that they are equipped to identify and report potential improper conduct and thereby mitigating bribery and corruption risk.</p> |
| Question 42 d | <b>Third Line of Defence</b>                                                                                     | <p><b>Points for Consideration</b></p> <p>Third Line of Defence refers to Audit and any independent assessment unit. As per Question 42 c, the risk of bribery and corruption can be reduced by providing appropriate ABC training, ensuring that the employees are equipped to identify and report potential improper conduct.</p>                            |
| Question 42 e | <b>Third parties to which specific compliance activities subject to ABC risk have been outsourced</b>            | <p><b>Guidance</b></p> <p>Refers to training provided to third parties which currently perform ABC compliance activities on behalf of the Entity.</p>                                                                                                                                                                                                          |
|               |                                                                                                                  | <p><b>Points for Consideration</b></p> <p>Any third party that is responsible for ABC compliance activities should receive mandatory ABC training. Failure to do so creates the risk that the third party is not familiar with the ABC programme and does not adhere to the programme's requirements.</p>                                                      |
| Question 42 f | <b>Non-employed workers as appropriate (contractors/consultants)</b>                                             | <p><b>Points for Consideration</b></p> <p>Any non-employed workers that is responsible for ABC compliance activities should receive mandatory ABC training. Failure to do so creates the risk that the third party is not familiar with the ABC programme and does not adhere to the programme's requirements.</p>                                             |
| Question 43   | <b>Does the Entity provide ABC training that is targeted to specific roles, responsibilities and activities?</b> | <p><b>Guidance</b></p> <p>Refers to training designed for specific roles/jobs/positions to help them understand their responsibilities in relation to ABC in their day-to-day activities. (e.g. employees that are responsible for booking customer entertainment or travel)</p>                                                                               |
|               |                                                                                                                  | <p><b>Points for Consideration</b></p> <p>As noted under Questions 42 a-f, various stakeholders occupy different roles with respect to the ABC programme. Accordingly, it is important to provide each stakeholder with targeted training that addresses their roles and responsibilities as they relate to the programme.</p>                                 |

| 5. AML, CTF & Sanctions Policies and Procedures |                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| Question 46                                     | Has the Entity documented policies and procedures consistent with applicable AML, CTF and Sanctions regulations and requirements to reasonably prevent, detect and report: | <p><b>Guidance</b><br/>Indicate through each sub-question whether you have documented policies and procedures to address the main elements of an AML, CTF and Sanctions programme.</p> <p><b>Points for Consideration</b><br/>Lack of documented policies and procedures can lead to failure to comply with jurisdictional requirements or inconsistent implementation of controls and provide opportunity for illicit actors to abuse a respondent for money laundering, including routing FC-related activity through the Entity. The extent to which a group-wide policy is implemented will be considered by the Correspondent as a best practice.</p> |
| Question 46 a                                   | Money laundering                                                                                                                                                           | <b>Refer to the Glossary</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Question 46 b                                   | Terrorist financing                                                                                                                                                        | <b>Refer to the Glossary</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Question 46 c                                   | Sanctions violations                                                                                                                                                       | <b>Refer to 'Sanctions' in the Glossary</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Question 47                                     | Are the Entity's policies and procedures updated at least annually?                                                                                                        | <p><b>Points for Consideration</b><br/>Good governance requires periodic assessment of regulatory requirements and policies and procedures against industry best practices. It is essential to have a process in place which requires all branches and segments of the Business to regularly update their policies and procedures. Lack of processes for updating policies and procedures may result in failure to identify or gaps with current applicable regulatory requirements and demonstrate limited focus on FC controls.</p>                                                                                                                      |
| Question 48                                     | Has the Entity chosen to compare its policies and procedures against:                                                                                                      | <p><b>Points for Consideration</b><br/>If your Entity is not bound by the regulations of key financial markets, most likely your Correspondent will be, in order to transact in their markets and currencies. Your Entity may choose to perform a gap analysis to understand where any variations are and decide on what elements may be worth implementing.<br/>Two key markets are U.S. and EU. Once the analysis is complete, it is a good practice to identify potential ways to strengthen existing policies and procedures if gaps are identified.</p>                                                                                               |
| Question 48 a                                   | US Standards                                                                                                                                                               | <p><b>Points for Consideration</b><br/>Your US Correspondent will be subject to US Standards. Aligning some or all of your processes to US standards may support your access to US payment systems.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Question 48 b                                   | EU Standards                                                                                                                                                               | <p><b>Points for Consideration</b><br/>Similar to the points for consideration in Question 48 a, compliance with European Standards and requirements may support access to EU payment systems.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

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| Question 49   | <b>Does the Entity have policies and procedures that:</b>                                     | <b>Guidance</b><br>For each sub-question indicate whether you have policies and procedures covering that topic.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Question 49 a | <b>Prohibit the opening and keeping of anonymous and fictitious named accounts</b>            | <p><b>Guidance</b><br/>Anonymous and fictitious named accounts mean accounts where the true account-owner is not known to your Entity or where identifying information about the true account-owner is not transmitted by your institution to FIs when you send payment or other financial messages to them.</p> <p><b>Points for Consideration</b><br/>Maintaining anonymous and fictitious named accounts provides no transparency into the owner/controllers which may lead to potential misuse of the accounts by illicit actors. Also, these types of naming conventions do not allow for effective economic sanctions and name screening by any party in the payment chain. Failure to recognise these types of accounts may increase FC risk. If these accounts exist at the Entity, it is imperative to complete and identify relevant ownership and control to determine if there are any bad actors, PEPs, negative media, tied to the account owners.</p> |
| Question 49 b | <b>Prohibit the opening and keeping of accounts for unlicensed banks and/or NBFIs</b>         | <p><b>Points for Consideration</b><br/>The inability to identify unregistered or unlicensed entities that have registration or licensing requirements may leave your Entity open to FC risks. If these accounts exist at your institution, and they refuse to provide evidence of licensing, a determination should be made regarding the legitimacy of the customer. In addition, unlicensed banks/NBFIs may not be abiding by their local regulations.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Question 49 c | <b>Prohibit dealing with other entities that provide banking services to unlicensed banks</b> | <p><b>Points for Consideration</b><br/>Maintaining accounts for entities which deal with unlicensed banks introduces the potential risk of processing transactions for entities not properly vetted and not subject to regulatory oversight and review, for both Respondent and Correspondent. Failure to identify this activity for an existing customer could lead to the correspondent/respondent institution being liable for executing transactions that could be considered unlawful.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Question 49 d | <b>Prohibit accounts/relationships with shell banks</b>                                       | <p><b>Guidance</b><br/>Per FATF, a shell bank is “a bank that has no physical presence in the country in which it is incorporated and licensed, and which is unaffiliated with a regulated financial group that is subject to effective consolidated supervision. Physical presence means meaningful mind and management located within a country. The existence simply of a local agent or low-level staff does not constitute physical presence.” Many jurisdictions prohibit doing any business with these types of entities. For more information, refer to <a href="#">FATF Recommendation 13</a>.</p>                                                                                                                                                                                                                                                                                                                                                          |

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|               |                                                                                                                                                                                   | <p><b>Points for Consideration</b></p> <p>Shell banks have been found to be used to facilitate FC, as there is no regulatory oversight due to a lack of physical presence. Offering services to a shell bank can allow bad actors/criminals to gain access to the financial systems to facilitate FC.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 49 e | <b>Prohibit dealing with another Entity that provides services to shell banks</b>                                                                                                 | <p><b>Guidance</b></p> <p>Even if there is not a direct relationship with shell banks, if there is a downstream customer who offers services to shell banks, there would be exposure to FC risks from those entities.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|               |                                                                                                                                                                                   | <p><b>Points for Consideration</b></p> <p>Offering services to an Entity that provides services to a shell bank can allow bad actors/criminals to gain access to the financial systems to facilitate FC.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Question 49 f | <b>Prohibit opening and keeping of accounts for Section 311 designated entities</b>                                                                                               | <p><b>Guidance</b></p> <p>Section 311 allows the U.S. Financial Crimes Enforcement Network (FinCEN) to take certain special measures against foreign jurisdictions, foreign FIs, classes of international transactions, or types of accounts of primary money laundering concern.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|               |                                                                                                                                                                                   | <p><b>Points for Consideration</b></p> <p>Correspondent banks subject to these rules will require their respondent banks to understand the risks associated with continuing to do business with the designated parties and implement controls to mitigate the risk of transactions being conducted through the accounts maintained at the correspondent bank. You can expect to have a discussion with their Correspondent on this control and how it can ensure compliance with these requirements. You should also consider performing their own screening for the presence of such entities in their payment activity. If your Entity conducts business with a foreign FI that is designated as a 311 primary money laundering concern, this can create issues with your correspondent bank(s) if your Entity attempts to transact in US Dollar on behalf of a designated foreign FI, as U.S. Correspondents are not allowed to process payments for 311 entities.</p> |
| Question 49 g | <b>Prohibit opening and keeping of accounts for any of unlicensed/unregulated remittance agents, exchanges houses, casa de cambio, bureaux de change or money transfer agents</b> | <p><b>Points for Consideration</b></p> <p>Failing to identify unregistered or unlicensed entities, where such entities are generally required to be registered or licensed, may leave an Entity open to FC risks. If these accounts exist at the institution, a determination should be made regarding the legitimacy of the customer. If you have relationships with such unlicensed/unregulated entities, you should be prepared to demonstrate to your correspondent(s) how you gain comfort in relation to their activities (where licensing/regulation would normally be required). Maintaining accounts for unlicensed money transmitters and exchange houses can lead to additional risks as these entities are not generally subject to regulatory oversight and review.</p>                                                                                                                                                                                      |



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| Question 49 h | <b>Assess the risks of relationships with domestic and foreign PEPs, including their family and close associates</b>                                                        | <b>Points for Consideration</b><br>PEPs carry a greater risk of bribery and corruption because their prominent role in a country and their public function can make them a target for bad actors seeking undue influence. Failure to understand and assess the potential risk of PEPs, related family members and associates can create exposure to the movement of illicit funds, including those associated with corruption.                                                                                                                                                                                                                          |
| Question 49 i | <b>Define the process for escalating FC risk issues/potentially suspicious activity identified by employees</b>                                                             | <b>Points for Consideration</b><br>Lack of clear escalation processes may lead to failure in investigating and reporting potential suspicious activity. A clear escalation path for AML and CTF issues should be implemented that is available to all staff. It should be independent and route to qualified individuals to ensure that risks and/or suspicious activity are quickly identified and actioned.                                                                                                                                                                                                                                           |
| Question 49 j | <b>Define the process, where appropriate, for terminating existing customer relationships due to financial crime risk</b>                                                   | <b>Points for Consideration</b><br>Lack of clear processes for terminating relationships for FC concerns may lead to potential criminal activity continuing to flow through your organisation. A clear and defined exit process will not only assist with the exit but will also ensure that accounts are swiftly closed, and related parties are reviewed. These actions should seek to identify potentially related businesses or accounts remaining at the institution to mitigate the identified FC.                                                                                                                                                |
| Question 49 k | <b>Define the process for exiting customers for financial crime reasons that applies across the Entity, including foreign branches and affiliates</b>                       | <b>Points for Consideration</b><br>Lack of a clear identification and escalation process for exiting customers that conduct suspicious activity may lead to a failure to report potential FC, including lack of management oversight, consistent processes and rogue employees. Consider what happens after the escalation and reporting process. How are any ongoing risks posed by customers/activity addressed and how is the identification of associated accounts at branches and affiliates identified.                                                                                                                                           |
| Question 49 l | <b>Define the process and controls to identify and handle customers that were previously exited for financial crime reasons if they seek to re-establish a relationship</b> | <b>Points for Consideration</b><br>If a customer or related parties seeks to re-establish a relationship, the reasons and the risks associated with the original exit must be vetted and mitigated. There should be substantive proof that the risk issues identified earlier no longer exist. Lack of a full review of a customer that wants to re-establish a relationship may result in repeated risks if the customer has the same or similar management, regardless of whether there is a change in operational policies.                                                                                                                          |
| Question 49 m | <b>Outline the processes regarding screening for sanctions, PEPs and adverse media/negative news</b>                                                                        | <b>Points for Consideration</b><br>There should be a clear definition and screening process for these specific entities/persons so they can be identified and screened. Screening is essential to assist in identifying and mitigating the risks associated with customers that are subject to sanctions, PEP, or adverse media/negative news concerns. This screening should include variations in spelling and/or foreign language if applicable. Failure to maintain methods to identify PEPs properly and to screen for sanctions and negative can expose the Entity to unidentified risks which are not properly assessed, monitored or mitigated. |

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| Question 49 n                                      | <b>Outline the processes for the maintenance of internal "watchlists"</b>                                                         | <p><b>Points for Consideration</b></p> <p>Failure to maintain methods to prevent previously exited customers and related parties internally identified from re-onboarding or re-entering the bank can lead to processing transactions with elevated FC risk, which presents concerns as to the effectiveness of the FC programme.</p>                                                                                                                                                                                                                                                                                                                                                             |
| Question 50                                        | <b>Has the Entity defined a risk tolerance statement or similar document which defines a risk boundary around their business?</b> | <p><b>Guidance</b></p> <p>A risk tolerance/risk appetite statement documents the level of the exposure beyond which the Entity is not prepared to accept additional risks. This can reduce and protect against unwanted risks and set business expectations in advance, thus ensuring that sales partners are aware of which customers to pursue and which not to pursue.</p> <p><b>Points for Consideration</b></p> <p>Failure to define a risk appetite/risk tolerance for your Entity can lead to an unacceptable level of risk which may not be mitigated by controls. Risk appetite/risk tolerance is a way of defining and measuring what business your Entity will or will not accept.</p> |
| Question 51                                        | <b>Does the Entity have record retention procedures that comply with applicable laws?</b>                                         | <p><b>Guidance</b></p> <p>A robust programme includes documented procedures outlining the minimum period for which records must be kept, e.g. CDD information, outcome of screening controls, escalation and decisions made by Senior Management and others.</p> <p><b>Points for Consideration</b></p> <p>Lack of defined procedures for maintenance of records can put your Entity at risk of breaching applicable laws. Minimum record keeping requirements may be defined by local regulations and are also guided by <a href="#">FATF Recommendation 11</a>.</p>                                                                                                                             |
| <b>6. AML, CTF &amp; Sanctions Risk Assessment</b> |                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 54                                        | <b>Does the Entity's AML and CTF EWRA cover the inherent risk components detailed below</b>                                       | <p><b>Guidance</b></p> <p>The Wolfsberg Group have published <a href="#">the Wolfsberg FAQs on Risk Assessments for Money Laundering, Sanctions and Bribery &amp; Corruption</a> which should prove helpful to entities seeking to understand the process and language.</p>                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 54 a                                      | <b>Customer</b>                                                                                                                   | <p><b>Points for Consideration</b></p> <p>What is the overall residual risk of the customer base as a whole? Consider the percentage of high, medium and low risk customers and the controls in place to mitigate that risk. Also consider the percentage of customers which may have higher industry risk and PEP risk. This kind of information helps management assess if your Entity's current risk exposure fits within the risk appetite. Not identifying the proportion of active customers by risk and industry type may cause gaps in attempts to mitigate the risk presented by higher risk customers effectively.</p>                                                                  |

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| Question 54 b | <b>Product</b>                                                                                        | <b>Guidance</b><br>Different products have different risks. Product controls should be assessed, e.g. Terms & Conditions, early surrender, payments on behalf of the customers, cross border nature, sold by intermediaries. What percentage of products have higher risk indicators?                                                                                                                                                                                                                                                                |
|               |                                                                                                       | <b>Points for Consideration</b><br>Failure to be aware of the risk of products and how many customers utilise such products, can inhibit the appropriate controls that have been implemented for such product.                                                                                                                                                                                                                                                                                                                                       |
| Question 54c  | <b>Channel</b>                                                                                        | <b>Guidance</b> Examples of channels are face to face, fax, post/mail, image transfer, internet banking, mainframe links and SWIFT.                                                                                                                                                                                                                                                                                                                                                                                                                  |
|               |                                                                                                       | <b>Points for Consideration</b><br>Consider the risks associated with how the Entity interacts with customers. Assess which channels expose the Entity to higher risks and determine the percentage of such channels being utilised, so that the associated controls are appropriate.                                                                                                                                                                                                                                                                |
| Question 54 d | <b>Geography</b>                                                                                      | <b>Points for Consideration</b><br>Consider what percentage of activities involve higher risk geographies which will enable the Entity to ensure that controls are appropriately designed and implemented. This analysis should allow for identification of any concentration of customers (and their connected/related parties) from countries with a higher probability of AML and CTF risk and the proportion of payments which are made to/from higher risk countries.                                                                           |
| Question 55   | <b>Does the Entity's AML and CTF EWRA cover the controls effectiveness components detailed below:</b> | <b>Guidance</b><br>Controls are programmes, policies or activities put in place to protect against the materialisation of money laundering and terrorism financing risks, and to ensure their prompt identification. Each control should be assessed for overall design and operating effectiveness. Controls are also used to maintain compliance with regulations governing activities.                                                                                                                                                            |
|               |                                                                                                       | <b>Points for Consideration</b><br>The risk-of internal controls not being evaluated periodically to determine their effectiveness is that they will remain static and will not effectively offset the overall inherent risks identified by the EWRA, or other means of risk assessment, as the organisation evolves.                                                                                                                                                                                                                                |
| Question 55 a | <b>Transaction Monitoring</b>                                                                         | <b>Points for Consideration</b><br>Consider the type of transaction monitoring which is applied to customers, products, channels and geography in the organisation and assess its suitability versus existing inherent risks. Is the monitoring automated or manual? Consider if the rules and scenarios are appropriate for your customer base, including whether they are subject to tuning or other validation exercises. Consider if tactical monitoring is required to be implemented where gaps exist in the transaction monitoring framework. |

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| Question 55 b | <b>Customer Due Diligence (CDD)</b>                       | <p><b>Points for Consideration</b></p> <p>Consider the effectiveness of the CDD requirements and implementation, e.g. how quickly are they applied, how frequently the data are refreshed, whether they are risk-based, and performance indicators relating to the execution of CDD within your organisation (e.g. is CDD completed on time and to an appropriate quality standard? Are exceptions used appropriately, etc.?).</p> <p>The lack of an effective CDD programme may prevent the Entity from appropriately identifying customers, assigning risk ratings and understanding the purpose of their relationships. The CDD programme must be designed to identify elements including sanctions exposure, source of funds/wealth, adverse media/negative news and PEP exposure and include provisions for the CDD Information to be updated using a risk-based approach.</p> |
| Question 55 c | <b>PEP identification</b>                                 | <p><b>Points for Consideration</b></p> <p>Consider the effectiveness of the way PEPs are identified, how regularly such customers are monitored, screened and their KYC profiles updated.</p> <p>Unidentified PEP relationships may cause the risk rating to be incorrect and may prevent the correct EDD measures from being in place to mitigate any potential FC risk.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 55 d | <b>Transaction Screening</b>                              | <p><b>Points for Consideration</b></p> <p>Consider the effectiveness of any screening of transactions against lists besides sanctions lists (which are covered below). For example, any internal watchlists that are maintained and against which transactions are screened.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Question 55 e | <b>Name Screening against Adverse Media/Negative News</b> | <p><b>Points for Consideration</b></p> <p>How frequently are customers' names screened against adverse media/negative news? What news sources are used? Does screening cover connected parties (such as owners and directors)? What procedures are in place for determining what constitutes material events and how they are to be processed and escalated? What processes are in place to address any inquiries from your Correspondent(s) about adverse media/negative news affecting your Entity or its customers?</p> <p>The lack of Negative Media screening on customers may result in failure to identify the risk they pose to your Entity and result in a need to change the risk rating or conduct further due diligence and potentially lead to an exit.</p>                                                                                                            |

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| Question<br>55 f | <b>Training and Education</b> | <p><b>Points for Consideration</b></p> <p>Consider the volume, quality and frequency of training provided, and whether completion and success rate are documented. Also consider how frequently training materials are updated so they remain useful and relevant. Targeted training, focus on key roles, utilising practical examples and case studies is an important part of effective training. A process to risk rate departments or business areas enables the identification of higher risk areas that may require more frequent or specialised training.</p> <p>Without effective training, the first Line of Defence will not be equipped to identify FC risks efficiently and the second line will not have the necessary knowledge to provide oversight. Senior management will not be in a strong position to discharge its responsibilities and prioritise key controls. Education is also a key element of control, as it provides regular regulatory updates, lessons learned from industry fines and keeps FCC themes at the forefront of the organisation's priorities.</p> |
| Question<br>55 g | <b>Governance</b>             | <p><b>Guidance</b></p> <p>Governance means a documented, regular and targeted set of tools to help management discharge its responsibilities effectively. It can include but is not limited to meetings, e-mails, presentations, escalation paths, defined roles and responsibilities via 'terms of reference', among others.</p> <p><b>Points for Consideration</b></p> <p>Not only must your Entity ensure that appropriate governance is in place in relation to FC controls, but also that it incorporates documented proof of meetings, decisioning, discussions and escalations, where relevant. Unless all key stages of the control framework are documented, they cannot be evidenced and may be considered as non-existent or weaker by Auditors and Regulatory Authorities.</p>                                                                                                                                                                                                                                                                                                   |
| Question<br>55 h | <b>Management information</b> | <p><b>Points for Consideration</b></p> <p>Consider the quality of the MI generated in relation to FC controls and how effective that is. Different types of MI are produced in a bank related to AML/CTF. Some will focus on daily tasks, helping to identify errors/gaps in the existing controls. Others will be developed specifically for senior management and will help management to have an overview of the end-to-end FCC programme.</p> <p>Lack of appropriate and accurate MI (e.g. wrong data sources, different parameters utilised to compare the same information, inconsistent dates, etc.), may cause the organisation to be ineffective in identifying risks or failures in the FCC programme.</p>                                                                                                                                                                                                                                                                                                                                                                         |

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| Question 56   | <b>Has the Entity's AML and CTF EWRA been conducted in the last 12 months?</b>             | <p><b>Points for Consideration</b></p> <p>A risk assessment that is not refreshed regularly cannot serve as a tool to track and highlight changes in risk exposure, the controls in place and any challenges in managing risk effectively. Without regular refresh, underlying risks could have changed without appropriate management oversight. Your Entity should decide on the appropriate frequency of the risk assessment to maintain the relevance of the findings and risk mitigation programme. If the risk assessment is not conducted annually an explanation should be provided.</p>                                                                                                                                                                                                                                                               |
| Question 57   | <b>Does the Entity's Sanctions EWRA cover the inherent risk components detailed below:</b> | <p><b>Guidance</b></p> <p>For each sub-question, indicate whether that component is included in your Sanctions EWRA as an inherent risk.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Question 57 a | <b>Customer</b>                                                                            | <p><b>Points for Consideration</b></p> <p>What is the overall sanctions residual risk exposure via the customer base and their transactions? Consider the special risks posed by customers who transact with jurisdictions that are prohibited to your Entity or your Correspondents? Also consider what thresholds are acceptable for sanctioned parties' ownership of the customers? This kind of information helps management assess if your organisation's sanction risk fits its risk appetite.</p>                                                                                                                                                                                                                                                                                                                                                       |
| Question 57 b | <b>Product</b>                                                                             | <p><b>Points for Consideration</b></p> <p>Consider end-to-end data flows for all products so your organisation can be sure that all relevant data is being captured for screening. Certain products (especially those that include third parties) may great exposure to additional Sanctions risks if the controls are not fit for purpose.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Question 57 c | <b>Channel</b>                                                                             | <p><b>Guidance</b></p> <p>Examples of channels are face to face, fax, post/mail, image transfer, internet banking, mainframe links and SWIFT.</p> <p><b>Points for Consideration</b></p> <p>Not understanding the product and customer delivery channels and their respective controls in relation to Sanctions exposure may create a gap in the effectiveness of the programme. For example, can customers amend the reference or address to avoid identification of Sanctions nexus by the screening systems?</p> <p>Consider the risks associated with the method of customer interaction. Assess which channels present exposure to higher sanctions risks and determine the percentage of such channels being utilised, so that the controls are appropriate. Consider whether any of these channels provides reduced visibility to parties involved.</p> |

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| Question 57 d | <b>Geography</b>                                                                                    | <p><b>Points for Consideration</b></p> <p>Consider the sanctions exposure presented by the location of the customers and their counterparties. Particularly those in proximity to sanctioned jurisdictions. This analysis should allow for the assessment of the required controls to prevent facilitating transactions with sanctioned jurisdictions/entities.</p>                                                                                                                                                                                                                                                                                  |
| Question 58   | <b>Does the Entity's Sanctions EWRA cover the controls effectiveness components detailed below:</b> | <p><b>Guidance</b></p> <p>Controls include programmes, policies or activities put in place to mitigate sanctions risks, ensuring that potential risks are promptly identified. Each control should be assessed for overall design and operating effectiveness. Controls are also used to maintain compliance with regulations governing the activities.</p> <p>If internal controls are not evaluated to determine their effectiveness, this increases the risk that they will remain static and will not effectively offset the overall inherent risks identified by the EWRA as your organisation evolves and offers new products or services.</p> |
| Question 58 a | <b>Customer Due Diligence (CDD)</b>                                                                 | <p><b>Points for Consideration</b></p> <p>Does the CDD process identify whether or not the customer operates in a Sanctioned country? Does the due diligence programme identify potential customer ownership in a Sanctioned country or customer business relationships with those in Sanctioned countries?</p> <p>Not completing full CDD could create sanctions risks associated with new customers, leaving the Entity open to regulatory related issues. Robust CDD will assist in the identification of potential sanctions nexus of customers and their key stakeholders.</p>                                                                  |
| Question 58 b | <b>Governance</b>                                                                                   | <p><b>Points for Consideration</b></p> <p>Not only must your Entity ensure that appropriate governance is in place in relation to sanctions controls, but also that it incorporates documented decisioning and escalations, where relevant. Unless all key stages of the control framework are documented they cannot be evidenced and may be considered as non-existent or weaker by auditors and regulatory authorities.</p> <p>Governance is crucial for the management of sanctions risk, to ensure senior management oversight of potential concern</p>                                                                                         |
| Question 58c  | <b>List Management</b>                                                                              | <p><b>Points for Consideration</b></p> <p>List Management is critical to the management of sanctions risk. The processes to manage changes to relevant lists is key to ensuring all parties and jurisdictions subject to sanctions are properly identified. Out of date screening lists could lead to sanctions breaches and regulatory scrutiny.</p>                                                                                                                                                                                                                                                                                                |

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| Question 58 d | <b>Management information</b> | <p><b>Points for Consideration</b></p> <p>Consider the quality of the MI generated in relation to sanctions controls and how effective that is for your organisation. Different types of MI are produced related to sanctions. Some will focus on daily tasks, helping to identify errors/gaps in the existing controls. Others will be developed specifically for senior management and will help management to have an overview of the end-to-end sanctions programme.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Question 58 e | <b>Name Screening</b>         | <p><b>Points for Consideration</b></p> <p>How frequently does your Entity screen customers' names against sanctions lists? Does screening cover connected parties (such as owners and directors)? What procedures are in place for determining what constitutes material events and how they are to be processed and escalated? Not completing accurate sanctions name screening may lead to sanctions breaches and regulatory concerns.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Question 58 f | <b>Transaction Screening</b>  | <p><b>Points for Consideration</b></p> <p>Are the transaction screening processes effective in protecting from sanctions violations? Is the output used to identify which customers pose a sanctions risk? Are the results of sanctions screening processes linked to CDD/KYC processes to build a fuller picture of the risk presented by the customers? Have you considered screening the transactions that flow to your Correspondent using the sanctions requirements of that jurisdiction? As one example if you do not screen US Dollar activity against the OFAC list you are exposed to the possibility that your US Dollar Correspondent will block/freeze or reject the transaction under OFAC regulations.</p>                                                                                                                                                                                                                                                                                                                                                                         |
| Question 58 g | <b>Training and Education</b> | <p><b>Points for Consideration</b></p> <p>Consider the volume, quality and frequency of training provided, and whether completion and success rate are documented. Also consider how frequently training materials are updated so they remain useful and relevant. Targeted training, focus on key roles, utilising practical examples and case studies is an important part of effective training. A process to risk rate the departments or business areas would identification of higher risk areas that may require more frequent or specialised training.</p> <p>Without effective training, the first Line of Defence will not be equipped to identify sanctions risks efficiently and the second line will not have the necessary knowledge to provide oversight. Senior management will not be in a strong position to discharge its responsibilities and prioritise key controls. Education is also a key element of control, as it provides regular regulatory updates, lessons learned from industry fines and keeps FCC themes at the forefront of the organisation's priorities.</p> |



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| Question 59                | <b>Has the Entity's Sanctions EWRA been conducted in the last 12 months?</b>                                                         | <p><b>Points for Consideration</b></p> <p>A risk assessment that is not refreshed regularly cannot serve as a tool to track and highlight changes in exposure, the controls in place and any challenges in managing risk effectively. Without regular refresh, underlying risks could have changed without appropriate management oversight. You should decide on the appropriate frequency of the Sanctions risk assessment to maintain the relevance of the findings and risk mitigation programme. If the risk assessment is not conducted annually an explanation should be provided.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>7. KYC, CDD and EDD</b> |                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Question 62                | <b>Does the Entity verify the identity of the customer?</b>                                                                          | <p><b>Guidance</b></p> <p>“Verification of identity” refers to the requirement to evidence the information provided by/on behalf of the customer during CDD, as required. Failure to verify the identity of a customer can lead to unknowingly conducting business with individuals or entities who are establishing a relationship for purposes of conducting nefarious activities.</p> <p><b>Points for Consideration</b></p> <p>The level of verification will typically vary dependent on regulatory requirements, the customer risk rating, and other elements such as what type of verification (documentary/non-documentary) is available. Although there will be different approaches, there must be consistent documentation of the rationale for the level of verification. Where variances were applied, the additional steps taken/implemented to mitigate any additional control must be documented.</p>                                                                                                                                                                                                                        |
| Question 63                | <b>Do the Entity's policies and procedures set out when CDD must be completed, e.g. at the time of onboarding or within 30 days?</b> | <p><b>Guidance</b></p> <p>Consider not only CDD procedures/regulatory requirements. but the exceptions which may be applied, including the time allowed for a customer to have its profile finalised (approved) after it has established a relationship with the Entity, if relevant. Consider the risks for customer profiles which are overdue for ongoing review. A profile that is overdue for a long period of time can become a considerable risk to the FCC programme, as the information will not be up to date information and therefore will not enable the identification of risk flags which are used to determine the level of monitoring required.</p> <p><b>Points for Consideration</b></p> <p>Lack of policies /procedures and relevant controls to ensure due diligence is conducted in a timely manner exposes the Entity to the risk of conducting business with individuals or entities who are, or who are connected to, illicit actors. As the gateway for activity flowing to the Correspondent, any gaps in the Entity’s processes will result in the Respondent exposing the Correspondent to heightened risk.</p> |

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| Question 64   | <b>Which of the following does the Entity gather and retain when conducting CDD? Select all that apply:</b> | <b>Guidance</b><br>For each sub-question indicate whether your Entity documents that component as part of CDD.                                                                                                                                                                                                                                                                                                                                         |
| Question 64 a | <b>Customer identification</b>                                                                              | <b>Guidance</b><br>Consider the effectiveness of the controls based on customer types in identifying and verifying the customers adequately.                                                                                                                                                                                                                                                                                                           |
|               |                                                                                                             | <b>Points for Consideration</b><br>As noted under Question 62, the identification and verification of customers are key in order for to understand what risks the Entity is exposed to. Specifically, this control is critical to mitigate the risk that a customer is not actually who they purport to be.                                                                                                                                            |
| Question 64 b | <b>Expected activity</b>                                                                                    | <b>Guidance</b><br>This may include volumes, types of transactions, jurisdictions to/from which transactions are likely to occur, Entity types, frequency, products and values. Consider the effectiveness of the processes to source, document and assess the expected activity of the customers against their actual activity at regular intervals, across the duration of the customer life cycle. Refer to the Glossary for further clarification. |
|               |                                                                                                             | <b>Points for Consideration</b><br>Well understood and documented expected activity will support an effective transaction monitoring process and minimise unnecessary engagement with the customer and delay of service. In addition, it will support the identification of irregular patterns and type of payments/transactions.                                                                                                                      |
| Question 64 c | <b>Nature of business/employment</b>                                                                        | <b>Guidance</b><br>This should include all types of revenue generating activity provided/performed by the customer.                                                                                                                                                                                                                                                                                                                                    |
|               |                                                                                                             | <b>Points for Consideration</b><br>In addition, it helps with the identification of high-risk activities which the customer may be undertaking and may give rise to a different customer profile. This information also helps with understanding the customer's source of funds and transactional activity.                                                                                                                                            |
| Question 64 d | <b>Ownership structure</b>                                                                                  | <b>Guidance</b><br>Refers to the full list of shareholders, intermediary entities and UBOs, including percentages of ownership. Consider the level of scrutiny performed on the customers' ownership structure based on Entity type and customer risk rating and how efficient the processes are in identifying potential FC risks.                                                                                                                    |

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|               |                                           | <p><b>Points for Consideration</b></p> <p>Ownership structures (e.g. complex) can be a key contributor to additional FC risks due to a number of elements, such as the jurisdictions of incorporation, the business activity or residency of shareholders, the identity of shareholders or key controllers, holding a senior political public function, sanctions nexus, higher risk activities, and source of funds from companies which are part of the chain of ownership.</p>                                                                                                |
| Question 64 e | <b>Product usage</b>                      | <p><b>Guidance</b></p> <p>Product Usage means the type and level (e.g. value/volume) of utilisation of products.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|               |                                           | <p><b>Points for Consideration</b></p> <p>Certain products will be considered higher risk than others. Different products expose your organisation to different risks due to the permitted volume of transactions, currencies associated to them, channels utilised, complexity, among others.</p> <p>Consider the effectiveness of the processes when assessing the expected activity vs actual activity for each product, if applicable.</p>                                                                                                                                   |
| Question 64 f | <b>Purpose and nature of relationship</b> | <p><b>Guidance</b></p> <p>The reason for the establishment of the relationship and the type of relationship such as investment banking or private banking.</p>                                                                                                                                                                                                                                                                                                                                                                                                                   |
|               |                                           | <p><b>Points for Consideration,</b></p> <p>The purpose of the relationship will provide a rationale for the products offered to the customer. Similarly, the nature of the relationship will provide context to what products the customer can access in your organisation. Both will help build an understanding of the potential risk the customer may pose to your organisation.</p>                                                                                                                                                                                          |
| Question 64 g | <b>Source of funds</b>                    | <p><b>Points for Consideration</b></p> <p>The customer's source of funds may be important in enabling an understanding of certain activities and the FC risks they pose. The risk of not understanding the source of funds is that your Entity cannot reasonably determine if the funds are from a legitimate source or are consistent with the customer's source of wealth.</p> <p>Refer to the Glossary for further information.</p>                                                                                                                                           |
| Question 64 h | <b>Source of wealth</b>                   | <p><b>Points for Consideration</b></p> <p>The risk of not understanding the customer's source of wealth is that it cannot be reasonably determined that their wealth has been derived from a legitimate source nor whether it is consistent with the business activity of the customer. While source of funds is a largely transactional consideration, source of wealth looks more broadly at the overall relationship and how the wealth was accumulated through time – especially for higher net worth individuals.</p> <p>Refer to the Glossary for further information.</p> |

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| Question 65    | <b>Are each of the following identified:</b>       | For each sub-question indicate whether that information is identified as part of CDD.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 65 a  | <b>Ultimate beneficial ownership</b>               | <p><b>Points for Consideration</b></p> <p>Failure to identify all relevant parties that have influence and control over an organisation can lead to the provision of account services to illicit actors and/or parties subject to sanctions.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Question 65 a1 | <b>Are ultimate beneficial ownership verified?</b> | <p><b>Guidance</b></p> <p>This question is asking if your Entity verifies UBOs within the ownership/control threshold set by your Entity, e.g. 25% or more, 10% or more, etc.</p> <p><b>Points for Consideration</b></p> <p>Shareholders and UBOs may have direct influence over the operations of customers which in turn may introduce FC to your Entity maintaining the customer relationship. It is necessary to understand who these parties are and to identify relevant information about them. Depending on a number of elements, for example, whether they are PEPs, the UBOs may present different risks. Although there may be no negative connotation with these risks, your Correspondent similarly as part of its CDD process may need to obtain additional information on the individuals /organisations behind its Respondent Bank customer, to assess the risk accurately. To better understand the risks associated with Beneficial Ownership, refer to the <a href="#">FATF Guidance on Transparency and Beneficial Ownership</a>. Consider whether the process verifies the UBO (i.e. individual), where applicable.</p> |
| Question 65 b  | <b>Authorised signatories (where applicable)</b>   | <p><b>Points for Consideration</b></p> <p>As noted under Questions 62 and 65 a, failure to identify authorised signatories can lead to conducting business with individuals or entities who are, or who are connect to, illicit actors or are subject to sanctions. Refer to the Glossary for further information.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 65 c  | <b>Key controllers</b>                             | <p><b>Points for Consideration</b></p> <p>Failure to identify key controllers can lead to conducting business with individuals or entities who are, or which benefit from, illicit actors subject to sanctions.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Question 65 d  | <b>Other relevant parties</b>                      | <p><b>Guidance</b></p> <p>“Other relevant parties” means any other Entity or individual which otherwise holds a significant ownership or controlling interest in the customer, e.g. authority to act on behalf of the customer (e.g. trustees).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

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|               |                                                                                                                     | <p><b>Points for Consideration</b></p> <p>As noted under Questions 65 a and 65 b, failure to identify relevant parties (who have power of influence and/or decision making) can lead to conducting business with individuals or entities who are, or who are connected to, illicit actors or subject to sanctions.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Question 66   | <b>What is the Entity's minimum (lowest) threshold applied to beneficial ownership identification?</b>              | <p><b>Guidance</b></p> <p>Indicate your Entity's lowest ownership/control threshold obtained from its customers, based on your risk appetite and regulatory requirements. Note that if "Other (Specify the percentage)" is selected as an answer, you can type the percentage figure in the same text box as the drop down. "Lowest" refers to the ownership threshold applied to the highest risk customer rating your Entity implements. Typically, the higher the FC risk posed by a legal Entity customer, the more detailed will be the requirements necessary for understanding the legal Entity's ownership.</p>                                                                                                                                                                                                                    |
| Question 67   | <b>Does the due diligence process result in customers receiving a risk classification?</b>                          | <p><b>Guidance</b></p> <p>"Risk classification" refers to the customer receiving a risk score or rating when assessing potential FC risk exposure.</p> <p><b>Points for Consideration</b></p> <p>Failure to assign a risk rating to customers appropriately could lead to a portfolio of higher risk customers that exceeds your Entity risk tolerance. Also, by not adopting a risk-based approach the focus on higher risk customers may be limited.</p>                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 67 a | <b>If Y, what factors/criteria are used to determine the customer's risk classification? Select all that apply:</b> | <p><b>Points for Consideration</b></p> <p>Risk assessment should include several factors to consider various aspects of potential FC risks effectively. One of the primary purposes of appropriately determining a customer's FC risk classification is to establish the appropriate risk profile of a customer and the corresponding level of due diligence required.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 68   | <b>For high-risk non-individual customers, is a site visit a part of your KYC process?</b>                          | <p><b>Guidance:</b></p> <p>A site visit refers to visiting the physical location of a customer's operational business premises. The purpose of visits for FC risk management purposes typically includes verifying that the customer does in fact have location and an operational business of operation. Consideration should also be given to the circumstances in which it would be sufficient to perform virtual site visits where physical site visit may not be possible. In certain circumstances a site visit can also be used to evaluate the customer's operational controls and risk management processes and establish relationships with the management team. It can also be used to conduct the required assessment of the customer's AML/CTF and Sanctions controls in the case of Correspondent Banking relationships.</p> |

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|                |                                                                                         | <p><b>Points for Consideration:</b> Failure to conduct a site visit for certain higher risk customer relationship could lead to establishing a relationship with a shell company resulting in unknowingly onboarding entities that could be establishing a relationship for purposes of conducting nefarious activities, or which benefit from illicit actors.</p> <p>The need for site visits will typically vary dependent on regulatory requirements, the customer risk rating, Entity type and other elements such as what type of verification is used to confirm the existence of a customer's operations.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 68 a  | <b>If Y, is this at:</b>                                                                | <p><b>Guidance</b></p> <p>If the answer to Question 68 is 'YES', indicate what prompts the site visit.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 69 a3 | <b>Trigger Event</b>                                                                    | <p><b>Guidance</b></p> <p>The response should indicate when a site visit is conducted, at onboarding or through the life cycle of the customers.</p> <p>A trigger event (a FC potential risk identified during the customer life cycle) may cause an immediate review of the customer's due diligence and risk rating. It may be a change in ownership, adverse media/negative news event, a sanctions or transaction monitoring investigation, material FC risk, a change in the products and services used by the customer or the customer moving domicile to another country, among others.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Question 70    | <b>What is the method used by the Entity to screen for adverse media/negative news?</b> | <p><b>Guidance</b></p> <p>Adverse Information/negative news is information that suggests that there may be reputational or FC risks in establishing or maintaining a relationship with a particular Entity or individual. Adverse information screening refers to screening of potential negative news and other negative information identified in relation to your Entity's customers and management of alerts generated.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Question 70    | <b>Automated/Manual/Combination</b>                                                     | <p><b>Points for Consideration</b></p> <p>Methods to screen customers for adverse media/negative news must be designed to provide adequate coverage, review and decisioning of potential results and tailored to the customer base and risk profile. The method may be manual during the customer's onboarding or review, automated with screening occurring on a predetermined cycle, or any combination of automated and manual. Failure to identify and evaluate adverse Information/negative news on customers could result in establishing or maintaining a relationship with an undesirable Entity or individual which may not have occurred had the adverse media/negative news been identified and assessed. The method of screening should be commensurate with the size of your Entity.</p> <p>Automated is typically achieved through a regular automated feed of data into a screening tool which will perform name match checks against the data and generate 'alerts' for bank staff to review. Manual is in reference to screening that is not automated. Combination is a mix of automated and manual.</p> |

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| Question 71    | <b>Does the Entity have a risk-based approach to screening customers and connected parties to determine whether they are PEPs, or controlled by PEPs?</b>                                                         | <b>Points for Consideration</b><br>Name screening, including PEP identification, can enhance the ability to assess risks associated with customers who are potentially higher risk as a result of the association as a PEP. Screening should be risk based unless local regulations determine otherwise. Also take into account that the ongoing nature of political changes and consider the requirements for ongoing review of customers for potential change in status. |
| Question 71 a  | <b>If Y, is this at:</b>                                                                                                                                                                                          | <b>Guidance</b><br>If your response to Question 71 is 'YES', indicate when the screening occurs.                                                                                                                                                                                                                                                                                                                                                                           |
| Question 71 a3 | <b>Trigger event</b>                                                                                                                                                                                              | <b>Points for Consideration</b><br>A trigger event (a FC potential risk identified during the customer life cycle) may cause an immediate review of the customer's due diligence and risk rating. It may be a change in ownership, adverse media/negative news event, a sanctions or transaction monitoring investigation, material FC risk, a change in the products and services used by the customer or the customer moving domicile to another country, among others.  |
| Question 72    | <b>What is the method used by the Entity to screen PEPs?</b>                                                                                                                                                      | <b>Points for Consideration</b><br>Methods to screen customers for PEP identification must be designed to provide adequate coverage, review and decisioning of the potential results, tailored to the customer base.                                                                                                                                                                                                                                                       |
| Question 73    | <b>Does the Entity have policies, procedures and processes to review and escalate potential matches from screening customers and connected parties to determine whether they are PEPs, or controlled by PEPs?</b> | <b>Guidance</b><br>This question is asking whether your Entity has a documented process in policies and procedures that sets out how an employee can disposition an alert or escalate screening hits related to PEPs and PEP exposure. When alerts are identified, there should be a defined clear process for escalation, investigation, reporting and any other action required as a consequence of the investigation outcome.                                           |
|                |                                                                                                                                                                                                                   | <b>Points for Consideration</b><br>At escalation consider whether to impose additional transaction monitoring is appropriate for customers identified as having PEP exposure and whether a CDD review should be triggered to determine whether the customer's risk rating is commensurate with the risk.                                                                                                                                                                   |
| Question 74    | <b>Is KYC renewed at defined frequencies based on risk rating (Periodic Reviews)?</b>                                                                                                                             | <b>Points for Consideration</b><br>Lack of processes to review and update customer information periodically can leave the Entity exposed to unknown changes in the customer profiles and associated risks.                                                                                                                                                                                                                                                                 |
| Question 75    | <b>Does the Entity maintain and report metrics on current and past periodic or trigger event due diligence reviews?</b>                                                                                           | <b>Guidance</b><br>This question focuses on the governance and timely completion of periodic and trigger event KYC/CDD reviews of your Entity's customers base, and the provision of MI so that Senior Management are made aware of control issues e.g. delays, back logs.                                                                                                                                                                                                 |

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|               |                                                                                                                                                          | <p><b>Points for Consideration</b></p> <p>A comprehensive set of metrics including key risk indicators and key performance indicators is necessary to give a complete view of the KYC programme and enable your Entity to identify trends and areas of potential concern, including but not limited to backlogs which may lead to not identifying risk introduced over the course of the relationship. Metrics which provide an overview on previous and current, both periodic and trigger reviews, will provide the opportunity to assess progress, effectiveness and potential concerns related to customer due diligence reviews</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Question 76   | From the list below, which categories of customers or industries are subject to EDD and/or are restricted, or prohibited by your Entity's FCC Programme? | <p><b>Guidance</b></p> <p>This question focuses on whether your Entity requires that certain customer types are subject to mandatory EDD, subject to limitations on activity that your Entity will support ("restrictions"*), or whether business relationships with these customer types are prohibited** due to FCC concerns. EDD and/or restrictions are a way to increase oversight and mitigate the potential risk of having funds generate from illicit origins.</p> <p>* Restricted activities are activities which your Entity has classified as 'restricted' due to its regulatory/legal requirements or limited risk appetite. Restricted activities may be acceptable by your Entity with additional controls in place (placed by its customer and/or by your Entity).</p> <p>** Prohibited activities refers to activities which your Entity has classified as 'prohibited' due to its regulatory/legal requirements or due to not meeting your Entity's AML risk appetite. Prohibited activities are not acceptable by the Entity and may cause the customer to be rejected or exited, based on the Entity's risk-based approach.</p> <p><b>Points of Consideration</b></p> <p>Certain categories of customers represent higher FC risk and should be subject to EDD. Failure to identify those categories of customers and perform associated EDD, may lead to an incorrect assessment of risk presented by a particular category of customers and ineffective monitoring. The Respondent should be aware that the Correspondent may have developed an acceptable risk appetite which may impact the acceptance of flows from certain customer categories.</p> |
| Question 76 a | Arms, defence, military                                                                                                                                  | <p><b>Points for Consideration</b></p> <p>These customers include companies, governments, military departments and other entities which manufacture, sell, purchase or use weapons for either defensive or offensive purposes, including any intermediaries in this activity.</p> <p>Arms, defence and military goods can find their way to terrorists or sanctioned entities. Arms may be deemed to pose reputational risk. Defence contracts may be large and involve government officials which may give rise to bribery and corruption risk.</p> <p>EDD and/or restrictions are a way to increase oversight and mitigate or manage the potential risk of having funds passing through accounts generated from this type of activity, from illicit origins.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |



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| Question 76 b  | <b>Respondent Banks</b>                                                                                                                              | <p><b>Points for Consideration</b></p> <p>Correspondent banking brings with it the risk that the account held by a respondent at a correspondent is used not just for the respondent's proprietary activity but also the activity of the respondent's customers. The Correspondent will perform CDD on its customer (your Entity) but not on your Entity's customers, which creates risk for the Correspondent in that activity is flowing through it for parties of which it may have no direct knowledge.</p>             |
| Question 76 b1 | <b>If EDD or EDD and Restricted, does the EDD assessment contain the elements as set out in the Wolfsberg Correspondent Banking Principles 2022?</b> | <p><b>Guidance</b></p> <p>For more information, refer to the <a href="#">Correspondent Banking Principles</a>.</p>                                                                                                                                                                                                                                                                                                                                                                                                          |
| Question 76 c  | <b>Embassies/Consulates</b>                                                                                                                          | <p><b>Points for Consideration</b></p> <p>There are well publicised cases in the public domain illustrating some of the challenges posed by embassy banking. At a minimum, an embassy is likely to present similar risks posed by banking government entities in the embassy's country, including the involvement of PEPs. There can be possible red flags on how the account is funded, (through personal accounts), the use of account and transactions processed.</p> <p>Refer to the Glossary for more information.</p> |
| Question 76 d  | <b>Extractive industries</b>                                                                                                                         | <p><b>Points for Consideration</b></p> <p>Extractive industries refer to industries involved in the extraction and management of oil, gas, minerals, metals, coal, quarrying, precious stones and other natural resources.</p> <p>The extractive industry (e.g. mining, oil) can pose additional risks such as bribery and corruption, environmental damage, employee welfare, among others.</p>                                                                                                                            |

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| Question<br>76 e | <b>Gambling customers</b>         | <p><b>Points for Consideration</b></p> <p>Gambling can be a cash intensive industry that may or may not have similar regulatory requirements as banks for how to handle cash and report suspicious activity. Your Entity should review its gambling industry customers carefully in order to develop a full understanding of their control environment and the risk they present. Consideration should also be given whether your Entity prohibits or restricts certain activities, such as unlicensed gambling business.</p> <p>Correspondent banks may take a different approach to these classifications based on their risk appetite.</p> <p>For more information, refer to the Glossary.</p> |
| Question<br>76 f | <b>General Trading Companies</b>  | <p><b>Points for Consideration</b></p> <p>General trading companies trade in a multitude of commodities and may change the products they buy/sell or offer over time. In some cases, the changes in their business line or product offerings can be sudden or frequent due to market conditions, which makes it difficult to also establish a customer profile and determine expected activity. In addition, general trading companies can be used as front companies by illicit actors to disguise the illegal origin of criminal proceeds by commingling the illicit funds with that of the general trading company funds.</p>                                                                  |
| Question<br>76 g | <b>Marijuana-related Entities</b> | <p><b>Guidance</b></p> <p>Consider if Marijuana and or Marijuana-related industries are allowed or not in the Correspondent's jurisdiction and whether the appropriate controls exist to prevent related transactions flowing through that bank if required.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|                  |                                   | <p><b>Points for Consideration</b></p> <p>Marijuana-related business can refer to entities involved in the growing, selling and distribution of any form of marijuana and may also refer to related businesses that support this activity. This classification will vary based on the jurisdiction and the Correspondent bank risk appetite.</p>                                                                                                                                                                                                                                                                                                                                                  |
| Question<br>76 h | <b>MSB/MVTS customers</b>         | <p><b>Points for Consideration</b></p> <p>MSBs and MVTSs may be subject to different regulatory requirements and/or oversight and supervision and, thus, may pose a different level of risk. There often is no ongoing relationship between the MSB/MVTS and the underlying customer, which makes monitoring for suspicious activity difficult. These businesses can be cash-intensive and provide services to unbanked individuals. Unlicensed MSBs/MVTSs present enhanced risk and are of particular concern and can be described using a variety of specific terms, including hawala, hundi, and fei-chen.</p> <p>Refer to the Glossary for further information.</p>                           |

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| Question 76 i | <b>Non-account customers</b>               | <b>Points for Consideration</b><br>Consider what categories of non-account customers your Entity may be exposed to and what risks they may bring. For the purposes of this question, ‘non-account customers’ refer to parties who use services, but do not go through an onboarding due diligence process and do not maintain an ongoing relationship with the bank.                                                                                                                                                                                                                                                   |
| Question 76 j | <b>Non-Government Organisations (NGOs)</b> | <b>Points for Consideration</b><br>Although the vast majority of NGOs are not utilised for illicit activities, steps need to be taken to identify any outliers due to the risk of NGOs, similarly to charities, being used as a front for terrorist activities. NGOs can also be set up as legitimate organisations that indirectly support terrorist activities. Understanding the nature of the entities activities is an important due diligence step. For more information, refer to the Glossary.                                                                                                                 |
| Question 76 k | <b>Non-resident customers</b>              | <b>Guidance</b><br>Customers outside the jurisdictions in which your Entity operates can present additional risks. It is important to understand the commercial reasons for which a customer located in a different jurisdiction would need an account and the purpose of the account. All due diligence requirements should apply to non-resident customers. EDD may be required depending on the perceived risk.                                                                                                                                                                                                     |
| Question 76 l | <b>Nuclear power</b>                       | <b>Points for Consideration</b><br>Nuclear power refers to a form of energy produced by a nuclear reaction, capable of producing an alternative source of electrical power to that supplied by coal, gas or oil.<br>Nuclear power involves the risk of dual use technology (weapons) and the potential for reputation risk and money laundering. EDD and/or restrictions are a way to increase oversight and mitigate the potential risk of having funds from illicit origins passing through accounts generated from this type of activity.                                                                           |
| Question 76 m | <b>Payment Service Providers (PSPs)</b>    | <b>Points for Consideration</b><br>By enlisting the services of a PSP, a merchant becomes less dependent on FIs to manage transactions. PSP customers process transactions through the accounts for their underlying customers which do not undergo due diligence by your Entity. Payments may also lack transparency as to the ultimate originators and/or beneficiaries if they are processed in bulk. Registration and licensing requirements may differ in various jurisdictions and an understanding of the particular requirement for the PSP should be undertaken. For more information, refer to the Glossary. |
| Question 76 n | <b>PEPs</b>                                | <b>Guidance</b><br>For more information, refer to the <a href="#">Wolfsberg Guidance on PEPs</a> .                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |

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|               |                                                 | <p><b>Points for Consideration</b></p> <p>PEPs can be susceptible to corruption as a result of an elected or appointed position, which gives them a position of influence and power, as well as access to public funds.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Question 76 o | <b>PEP Close Associates</b>                     | <p><b>Points for Consideration</b></p> <p>PEP Close Associates include PEP's widely- and publicly known close business colleagues or personal advisors, in particular persons acting in a financial fiduciary capacity.</p> <p>PEP close associates can be susceptible to corruption as a result of connection to a PEP.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Question 76 p | <b>PEP Related</b>                              | <p><b>Points for Consideration</b></p> <p>PEP related refers to close family members of a PEP.</p> <p>PEP-related individuals (immediate family members) can be susceptible to corruption as a result of connection to a PEP.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 76 q | <b>Precious metals and stones</b>               | <p><b>Points for Consideration</b></p> <p>Criminals can use illicit funds for precious metals and stone purchases, presenting higher risk to the banks involved in the transactions. EDD and/or restrictions are a way to increase oversight and mitigate the potential risk of having funds passing through your Entity's accounts generated from this type of activity, from illicit origins.</p> <p>For more information, refer to the Glossary.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 76 r | <b>Red light businesses/Adult entertainment</b> | <p><b>Points for Consideration</b></p> <p>In most jurisdictions, "red light" business and adult entertainment are considered a high-risk industry for FC. From the welfare of the people in the business to the source of funds, the potential for illicit funds to be processed through this industry is high. Additionally, human trafficking activities are also associated with this industry. "Red light" business/adult entertainment is also known for being cash-intensive, adding additional traceability risks. If your Entity has such customers, consider if the EDD and restrictions capabilities are sufficient to mitigate such risks. This type of business can expose both the Correspondent and Respondent to a number of FC risks, in addition to be often a cash-based and unlicensed/unregulated activity. Potential reputation risk is also an additional concern which requires controls to mitigate it.</p> <p>For more information, refer to the Glossary.</p> |

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| Question<br>76 s | <b>Regulated charities</b>             | <p><b>Points for Consideration</b></p> <p>Regulated charities pose less FC risks than unregulated charities. However, they still can present risks if the contributors are unknown entities and if the recipients are in locations with less stringent FC controls. EDD and/or restrictions are a way to increase oversight and mitigate the potential risk of having funds passing through accounts generated from this type of activity (i.e. illicit origins). Understanding the nature of the entities activities is an important due diligence step. Although the vast majority of charities are not utilised for illicit activities, steps need to be taken to identify any outliers.</p> <p>For more information, refer to the Glossary.</p> |
| Question<br>76 t | <b>Shell banks</b>                     | <p><b>Points for Consideration</b></p> <p>Shell banks have been found to be used to facilitate FC as there is no regulatory oversight due to lack of any physical presence. Doing business with shell banks is prohibited in most jurisdictions.</p> <p>For more details, refer to the Glossary and <a href="#">FATF Recommendation 13</a>.</p>                                                                                                                                                                                                                                                                                                                                                                                                     |
| Question<br>76 u | <b>Travel and Tour Companies</b>       | <p><b>Points for Consideration</b></p> <p>Travel and tour companies present the risk of being used to pay for travel and travel-related expenses with illicit funds.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Question<br>76 v | <b>Unregulated charities</b>           | <p><b>Points for Consideration</b></p> <p>Unregulated charities may not be subject to any government/self-regulatory organisation oversight, making them an easy target for transfer of illicit proceeds. EDD and/or restrictions are a way to increase oversight and mitigate the potential risk of having funds passing through your Entity's accounts generated from this type of activity (i.e. illicit origins). It is important to understand under what circumstances charities are required to be regulated in order to determine whether a charity that is a customer is properly constituted. Additionally, the jurisdiction of operation may also impact the risk profile of the charity.</p>                                            |
| Question<br>76 w | <b>Used Car Dealers</b>                | <p><b>Points for Consideration</b></p> <p>It is a known typology that criminal enterprises often purchase cars and then resell them for clean money. Used-car dealerships can be the preferred route to engage with and may therefore be susceptible to money laundering by criminals that buy used cars (often with cash) as a way to launder illicit money. In some jurisdictions, used car dealership may not be subject to any regulations or cash transaction reporting requirements.</p>                                                                                                                                                                                                                                                      |
| Question<br>76 x | <b>Virtual Asset Service Providers</b> | <p><b>Points for Consideration</b></p> <p>Virtual currencies may lack transparency into the parties involved and/or may have been used for FC. The virtual currency space is a rapidly evolving area with varying levels of regulatory oversight and considerable adverse media/negative news about use by illicit actors.</p> <p>For more information, refer to the Glossary.</p>                                                                                                                                                                                                                                                                                                                                                                  |

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| Question 77 | <b>If restricted, provide details of the restriction.</b>                                                                                                          | <p><b>Guidance</b></p> <p>Your Entity chooses to limit the types of business it will do with particular customers. Effective monitoring of such restrictions and documentation of the controls related to the restriction is essential to demonstrate the effectiveness of the controls.</p> <p>An example of a restriction might be the provision of clearing services for proprietary payments but not third-party payments.</p>                                                                                                                                                                                                                                                                                                                       |
| Question 78 | <b>Does EDD require senior business management and/or compliance approval?</b>                                                                                     | <p><b>Guidance</b></p> <p>This question refers to a documented process as part of the bank's EDD process which requires that senior business management and/or compliance approval is required in order to establish or continue (for existing customers) a business relationship with certain categories of high-risk customer (as defined by the bank's risk appetite and/or standards).</p> <p><b>Points for Consideration</b></p> <p>What constitutes senior business management will depend on the size, structure, and nature of the FI. However, the objective is to ensure that more senior-level management individuals are aware and accept the relationships with certain categories of higher-risk customers as part of the EDD process.</p> |
| Question 79 | <b>Does the Entity have specific procedures for onboarding entities that handle customer money, such as lawyers, accountants, consultants, real estate agents?</b> | <p><b>Points for Consideration</b></p> <p>Professional service provider accounts allow for ongoing business transactions with multiple customers and your Entity does not have a direct relationship with, or knowledge of, the beneficial owners of these types of accounts, which may be a constantly changing group of individuals and legal entities.</p> <p>As with any account that presents third-party risk, the bank could be more vulnerable to potential money laundering abuse. Some potential examples of abuse could include laundering illicit currency, structuring currency deposits and withdrawals, and opening any third-party account for the primary purpose of masking the underlying customer's identity.</p>                    |
| Question 80 | <b>Does the Entity perform an additional control or quality review on customers subject to EDD?</b>                                                                | <p><b>Guidance</b></p> <p>If the response is 'YES', relating to additional controls, please provide information in Question 82.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

| 8. Monitoring & Reporting |                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
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| Question 83               | <b>Does the Entity have risk-based policies, procedures and monitoring processes for the identification and reporting of suspicious activity?</b> | <b>Guidance</b><br>Your Entity shall have in place procedures and controls compliant with the AML/CTF regulations to mitigate and effectively manage the risks of money laundering and terrorist financing that your Entity faces as well as the money laundering and terrorist financing red flags relevant for your Entity and the industry sector.<br>A risk-based approach allows to prioritise resources on areas of higher AML/CTF risk identified.                                                                                                                                              |
|                           |                                                                                                                                                   | <b>Points for Consideration</b><br>Lack of policies and procedures could lead to inconsistent practices and failure to meet regulatory reporting requirements.                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Question 84               | <b>What is the method used by the Entity to monitor transactions for suspicious activities?</b>                                                   | <b>Guidance</b><br>The method of monitoring transactions for suspicious activity should be commensurate with the type and volume of transactions undertaken, in order to mitigate money laundering risks effectively.                                                                                                                                                                                                                                                                                                                                                                                  |
|                           |                                                                                                                                                   | <b>Points for Consideration</b><br>Automated solutions will be most suitable for high-volume activities while manual monitoring may suffice for lower volumes and/or in situations where it may be difficult to load all relevant data into an automated system, e.g. monitoring of documentary letter of credit activity. Regardless of whether or not an automated system is used, human vigilance remains fundamental.<br>Continuous assessment of existing manual transaction monitoring process is important, and consideration should be given to their effectiveness versus the risk they pose. |
| Question 84 a             | <b>If manual or combination selected, specify what type of transactions are monitored manually</b>                                                | <b>Guidance</b><br>Provide further information on the use of manual monitoring.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 84 b             | <b>If automated or combination selected, are internal system or vendor-sourced tools used?</b>                                                    | <b>Points for Consideration</b><br>Where a vendor-sourced or internal solution is used, your Entity should assess its adaptability to cover its activities and the AML/CTF risks involved, the frequency of updates, and the limitations. The flexibility and scalability of a solution is of utmost importance, as the underlying risks surrounding transaction monitoring are evolving. Additionally, it is important to be able to create an audit trail to have a clear understanding of the selected solution, and potentially to show to the relevant authorities.                               |

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| Question 84 b2 | <b>When was the tool last updated?</b> <ul style="list-style-type: none"> <li>• &lt; 1 year</li> <li>• 1-2 years</li> <li>• Other - Please explain in Question 91</li> </ul>                                                                     | <b>Guidance</b><br>Effective monitoring requires regular review and updating of the parameters or criteria used to generate monitoring reports or issue alerts. Regular assessment of effectiveness should also be made to your Entity's transaction monitoring system (including vendor updates) to take into account changes in business operations and developments in money laundering and terrorist financing methods (new scenarios). Any enhancements to the system should be properly documented.                                                                                                                                                                                                         |
|                |                                                                                                                                                                                                                                                  | <b>Points for Consideration</b><br>Insufficient updates may prevent detection of new money laundering or financing trends.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 84 b3 | <b>When was the automated Transaction Monitoring application last calibrated?</b> <ul style="list-style-type: none"> <li>• Within the last year</li> <li>• Within the past 2 years</li> <li>• Other - Please explain (in Question 91)</li> </ul> | <b>Guidance</b><br>FIs need to review and customise, if relevant, the parameters and thresholds in relation to the level of activity of the customers and cannot use an off-the-shelf calibration. A methodology and an audit trail of the changes in the tuning should be maintained and approved by the MLRO in order to be potentially presented to the competent authorities.                                                                                                                                                                                                                                                                                                                                 |
|                |                                                                                                                                                                                                                                                  | <b>Points for Consideration</b><br>Transaction monitoring systems should be tuned regularly to adjust thresholds to the evolving transactional activity and take into account historical alerts and Suspicious Activity Reports (SARs). FIs should periodically review, test, and refine their transaction monitoring rules to ensure they remain current and effective in targeting riskier transactions, behaviours and new AML/CTF trends.                                                                                                                                                                                                                                                                     |
| Question 85    | <b>Does the Entity have regulatory requirements to report suspicious transactions?</b>                                                                                                                                                           | <b>Points for Consideration</b><br>Local regulatory authorities are expected to implement FATF Recommendation 20 (and its interpretative notice).                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Question 85 a  | <b>If Y, does the Entity have policies, procedures and processes to comply with suspicious reporting requirements?</b>                                                                                                                           | <b>Guidance</b><br>Those procedures should define the process and criteria to report a suspicion as well as the timing of the SAR filing and its content. Controls should be applied to detect and remediate potential breaches.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Question 86    | <b>Does the Entity have policies, procedures and processes to review and escalate matters arising from the monitoring of customer transactions and activity?</b>                                                                                 | <b>Guidance</b><br>These policies should describe what escalation action to take when customer is subject to a SAR in order to prevent the repetition of suspicious transaction. Consider the method of escalation, audit trail, quality of the review of escalations and decisioning. The MLRO should be informed of the AML/CTF incidents relating to the transaction monitoring in order to ensure that remedial measures are taken. This understanding will demonstrate the efficiency/effectiveness of how your Entity manages the monitoring of customer activity. Policies and procedures should ensure senior management visibility of escalation volume and backlog to ensure compliance with local law. |



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| Question 87 | <b>Does the Entity have a data quality management programme to ensure that complete data for all transactions are subject to monitoring?</b> | <p><b>Guidance</b><br/>Data quality is a prerequisite for the sound functioning of the transaction monitoring systems. Your Entity should periodically review the completeness and validity of data used in its transaction monitoring systems – for instance, through the performance of data integrity checks to ensure that data is being completely and accurately captured in the source systems and transmitted to its transaction monitoring systems.<br/>Appropriate controls or periodical reviews should be conducted to identify abnormally functioning transaction monitoring rules or scenarios (abnormal volume variation on transactions and alerts) and ensure that any such irregularities caused by data integrity issues are properly remediated.</p> <p><b>Points for Consideration</b><br/>Any irregularities could lead to let illicit activity going unidentified with no surveillance and consequently end at being unable to issue SAR when appropriate.</p> |
| Question 88 | <b>Does the Entity have processes in place to respond to Request For Information (RFI) from other entities in a timely manner?</b>           | <p><b>Guidance</b><br/>Consider the processes and standards in place to support incoming RFIs. Also consider how such inquiries are treated – can they also be used as a prompt to initiate investigation into the underlying activity/customer by your Entity?</p> <p><b>Points for Consideration</b><br/>The provision of additional information in response to RFIs sent to Entity by other banks supports the investigation processes of other institutions and serves to demonstrate the quality of the control processes of the recipient of the RFI. Delays in responding to RFIs from the Correspondent may affect how the Correspondent views the effectiveness of your Entity’s FC programme.</p>                                                                                                                                                                                                                                                                           |
| Question 89 | <b>Does the Entity have processes in place to send Requests for Information (RFIs) to their customers in a timely manner?</b>                | <p><b>Guidance</b><br/>In the case of missing information or determining the payment purpose, an RFI ensures that the front-office team asks the right questions to gain more clarity on the transactions. An RFI process ensures that the investigations teams reach the correct recipient and track the response receipt within a certain time limit.</p> <p><b>Points for Consideration</b><br/>Delay in sending RFIs or lack of control on the RFI response time could lengthen the time required to report suspicious activities and potentially breach regulatory deadline for reporting. Lack of RFI process for timely responses could lead to reporting of suspicious activity that could have been explained with additional information.</p>                                                                                                                                                                                                                               |

| 9. Payment Transparency |                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
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| Question 92             | Does the Entity adhere to the Wolfsberg Group Payment Transparency Standards?                                                | <p><b>Guidance</b><br/>Refer to the <a href="#">Wolfsberg Payment Transparency Message Standards publication</a>.</p> <p><b>Points for Consideration</b><br/>Use of incorrect message formats and/or not including full/accurate payment information will compromise an Entity's own sanctions screening and transaction monitoring processes as well as those of all the other banks in the payment chain.<br/>Your Entity should evaluate all payment processing standards, across all products and locations, to determine adherence to the standards. A formally documented evaluation or gap analysis, as well as testing where required, would serve to substantiate consistency with the standards.</p> |
| Question 93             | Does the Entity have policies, procedures and processes to comply with and have controls in place to ensure compliance with: | <p><b>Guidance</b><br/>Policies, procedures and processes should be documented, communicated to and be accessible to relevant staff.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 93 a           | FATF Recommendation 16                                                                                                       | <p><b>Guidance</b><br/>Refer to the Glossary for further information on FATF Recommendation 16.</p> <p><b>Points for Consideration</b><br/>Although FATF Recommendations are not regulatory requirements, Correspondents may wish to see that controls in place to monitor for, and enforce, <a href="#">FATF Recommendation 16 on wire transfers</a>.</p>                                                                                                                                                                                                                                                                                                                                                     |
| Question 93 b           | Local Regulations                                                                                                            | <p><b>Guidance</b><br/>There should be a process for ensuring that your Entity is aware of local regulatory standards for payment transparency and any changes that occur, and that it should have processes and procedures to comply with those standards.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Question 93 c           | If N, explain.                                                                                                               | <p><b>Guidance</b><br/>If there are no such policies and procedures, as described above, to comply in any respect with these standards, consideration must be given to the extent of any deviation and Entity's ability to collect the necessary payment information.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                      |

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| Question 94   | Does the Entity have controls to support the inclusion of required and accurate originator information in cross-border payment messages?                                                                                                            | <b>Guidance</b><br>Consider documented processes to ensure that they require the complete set of originator information and whether the originator information provided in cross-border payment messages is consistent with the information about the customer as verified as part of the CDD process.                                                                                                                                                                                                                                                                                                                                                           |
|               |                                                                                                                                                                                                                                                     | <b>Points for Consideration</b><br>Information should not be truncated, in all possible situations. Truncation means that not all data received is included in the outgoing messages, either because the message fields do not allow for a sufficient number of characters, or the complete information is not provided at the initiation of the transaction. The inclusion of complete and accurate originator information in payment messages is required to support the effective execution of transaction monitoring and sanctions screening control processes.                                                                                              |
| Question 95   | Does the Entity have controls to support the inclusion of required beneficiary information cross-border payment messages?                                                                                                                           | <b>Guidance</b><br>There should be control processes to ensure that payment originators are providing full information in all possible situations and that beneficiary information supplied by the customer is not meaningless. Whereas beneficiary information may be more difficult to source than originator information, the bank should have a defined approach for obtaining it.<br>Also consider what system controls are in place at your Entity to prevent wire transfers from being executed/released without required beneficiary information, or beneficiary information that is clearly meaningless, when your Entity is acting as the Ordering FI. |
|               |                                                                                                                                                                                                                                                     | <b>Points for Consideration</b><br>The inclusion of required beneficiary information in payment messages further supports the effective execution of transaction monitoring and screening control processes.                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 10. Sanctions |                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Question 98   | Does the Entity have a Sanctions Policy approved by management regarding compliance with sanctions law applicable to the Entity, including with respect to its business conducted with, or through accounts held at foreign financial institutions? | <b>Guidance</b><br>Your Entity should have a policy which covers the compliance with all sanctions laws applicable to your Entity.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|               |                                                                                                                                                                                                                                                     | <b>Points for Consideration</b><br>Consider compliance with all relevant Sanctions lists and how additional controls may need to be implemented where your Entity are not required to do so (but the Correspondent is). Consider how to ensure compliance with the sanctions obligations of the Correspondent. A clear policy and senior management commitment to comply with sanctions laws provide all compliance requirements to your Entity’s employees.                                                                                                                                                                                                     |

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| Question 99  | <b>Does the Entity have policies, procedures, or other controls reasonably designed to prevent the use of another entity's accounts or services in a manner causing the other entity to violate sanctions prohibitions applicable to the other entity (including prohibitions within the other entity's local jurisdiction)?</b> | <p><b>Points for Consideration</b></p> <p>Sanctions often differ from jurisdiction to jurisdiction. As a result, it is important to understand both the sanctions laws of the jurisdictions in which your Entity operates and those in which it maintains its accounts to avoid transacting through those accounts for parties or jurisdictions that would violate the Correspondent's regulatory requirements. Failure to do so can lead to blocked/frozen transactions and potential violations for your Entity and the Correspondent.</p>                                                                                                                                                                                                                  |
| Question 100 | <b>Does the Entity have policies, procedures or other controls reasonably designed to prohibit and/or detect actions taken to evade applicable sanctions prohibitions, such as stripping, or the resubmission and/or masking, of sanctions relevant information in cross-border transactions?</b>                                | <p><b>Guidance</b></p> <p>Ensure that policies and procedures include controls to detect customers seeking to evade sanctions.</p> <p><b>Points for Consideration</b></p> <p>Parties may attempt to submit payments masking/removing prohibited names or jurisdictions to evade sanctions. This may occur by the customer purposefully not supplying full details in payment transactions or by re-submitting transactions that were previously blocked/frozen or rejected with the sanctioned references eliminated or masked. Failure to develop controls to identify this behaviour can put both your Entity and the Correspondent at risk of violations. Consider not only what controls are in place, but also their effectiveness.</p>                  |
| Question 101 | <b>Does the Entity screen its customers, including beneficial ownership information collected by the Entity, during onboarding and regularly thereafter against Sanctions Lists?</b>                                                                                                                                             | <p><b>Guidance</b></p> <p>Sanctions laws and lists of sanctioned entities, individuals or jurisdictions can be subject to frequent change. As such, it is important that all relevant data is collected and screened on a continuing basis.</p> <p><b>Points for Consideration</b></p> <p>Some regulations specify that a legal Entity that is not listed directly as a sanctioned target is considered a sanctioned target if 50% or more of it is owned by a beneficial owner that is directly sanctioned. Similarly, some jurisdictions may consider an Entity to be sanctioned if one or more of its controlling parties is a sanctioned target.</p> <p>For more information, refer to the <a href="#">Wolfsberg Guidance on Sanctions Screening</a>.</p> |
| Question 102 | <b>What is the method used by the Entity for sanctions screening?</b>                                                                                                                                                                                                                                                            | <p><b>Guidance</b></p> <p>The method of screening customers against sanctions lists should be commensurate with the type and volume of customers in order to mitigate sanctions violations.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

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|              |                                                                                                                                                                                     | <p><b>Points for Consideration</b></p> <p>Automated screening is most appropriate for large volumes of customers, while manual processes may suffice for lower volumes. Manual processes may also be suited for tasks that do not lend themselves easily to automation, e.g. documentary trade finance. The methodology should be re-assessed as your Entity's business evolves and the FC risks change.</p> <p>For more information, refer to the <a href="#">Wolfsberg Guidance on Sanctions Screening</a>.</p> |
| Question 103 | <b>Does the Entity screen all sanctions relevant data, including at a minimum, Entity and location information, contained in cross border transactions against Sanctions Lists?</b> | <p><b>Points for Consideration</b></p> <p>References to sanctioned entities/related parties/jurisdictions can occur in any field in a transaction, including free text fields. Incomplete screening can result in failure to identify a transaction with reference to a sanctioned Entity or jurisdiction.</p>                                                                                                                                                                                                    |
| Question 104 | <b>What is the method used by the Entity?</b>                                                                                                                                       | <p><b>Guidance</b></p> <p>Similar to customer screening, the method for transaction screening should be commensurate with the volume of transactions processed.</p> <p>Automated screening should be used for products that generate a large number of transactions and multiple fields of information.</p>                                                                                                                                                                                                       |
| Question 105 | <b>Does the Entity have a data quality management programme to ensure that complete data for all transactions are subject to sanctions screening?</b>                               | <p><b>Guidance</b></p> <p>Effective sanctions screening is dependent on quality data management processes. Does the organisation have sufficient processes to have effective screening?</p>                                                                                                                                                                                                                                                                                                                       |
|              |                                                                                                                                                                                     | <p><b>Points for Consideration</b></p> <p>In order to ensure that your Entity is in compliance with sanctions laws, all data sources must be accurate and complete. A robust quality data management programme should be designed to ensure all relevant data is available for screening.</p>                                                                                                                                                                                                                     |
| Question 106 | <b>Select the Sanctions Lists used by the Entity in its sanctions screening processes:</b>                                                                                          | <p><b>Guidance</b></p> <p>As stated in Question 98, in order to mitigate the risk of a sanctions violation by the organisation and in the regulatory jurisdiction of the Correspondent, it is important to understand and be explicit as to which sanctions lists are being used for sanctions screening purposes.</p>                                                                                                                                                                                            |

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|              |                                                                                                                                                                                                                                                        | <p><b>Points for Consideration</b></p> <p>It is a good practice to use broadly adopted sanctions lists (e.g. OFAC, UN, EU, HMT, among others) to identify any potential sanctioned entities. This should be done in addition to any local jurisdictional lists as well as the applicable list(s) used by the Correspondent. There may be differences between the sanctions regulations that are applicable to your Entity (as Respondent) and those that are applicable to the Correspondent. Through the due diligence process, your Entity should seek to understand any such differences to ensure that it meets the Correspondent's expectations.</p> |
| Question 107 | <b>When regulatory authorities make updates to their Sanctions list, how many business days before the Entity updates their active manual and/or automated screening systems against:</b>                                                              | <p><b>Guidance</b></p> <p>Indicate for each category the timeframe within which internal sanctions lists are updated.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|              |                                                                                                                                                                                                                                                        | <p><b>Points for Consideration</b></p> <p>Sanctions lists which are not kept current or experience delays in updates into the screening systems can expose both your Entity and the Correspondent to the risk of processing transactions in violation of sanctions laws. A sustainable process must be implemented which allows the identification of updated lists, with a defined time frame and process flow on how to have the lists updated across the organisation.</p>                                                                                                                                                                             |
| Question 108 | <b>Does the Entity have a physical presence, e.g. branches, subsidiaries, or representative offices located in countries/regions against which UN, OFAC, OFSI, EU and G7 member countries have enacted comprehensive jurisdiction-based Sanctions?</b> | <p><b>Guidance</b></p> <p>Comprehensive Sanctions Programmes – Known as Sensitive Sanctioned Countries (SSCs). This is where almost all (barring licenced) activity is prohibited with the country.<br/>Answer 'YES' if your Entity has a physical presence in any country which is included in any of the Sanctions Lists.</p>                                                                                                                                                                                                                                                                                                                           |
|              |                                                                                                                                                                                                                                                        | <p><b>Points for Consideration</b></p> <p>If your Entity has a physical presence in any sanctioned country or jurisdiction, this will present heightened risk to the Correspondent. The risk is that funds from branches or businesses based or sourced from sanctioned countries or jurisdictions may pass through the Correspondent. If this occurs, the Correspondent will have to report, block/freeze or reject the activity.</p>                                                                                                                                                                                                                    |

| 11. Training & Education |                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
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| Question 111             | <b>Does the Entity provide mandatory training, which includes:</b>                                                                                           | <p><b>Points for Consideration</b></p> <p>Without a core commitment from the organisation and senior management on training that is fit for purpose, deployed on a regular basis and of true benefit to those undertaking it, there is a considerable risk that the FCC programme will not be able to be implemented effectively.</p> <p>Adequate training of management and staff on a regular basis is required to ensure a sound understanding of money laundering, terrorist financing and Sanctions risks, and the bank's FCC programme. Questions 111 a-f refer to specific training topics which contribute to making the training programme comprehensive, relevant and effective.</p> |
| Question 111 a           | <b>Identification and reporting of transactions to government authorities</b>                                                                                | <p><b>Guidance</b></p> <p>This question focuses on both systematic regulatory transactional reporting obligations and suspicious activity reporting.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Question 111 b           | <b>Examples of different forms of money laundering, terrorist financing and sanctions violations relevant for the types of products and services offered</b> | <p><b>Points for Consideration</b></p> <p>An impactful training programme should include case studies, examples of risks your Entity has identified based on its customers, products, business types and geographic exposures in order to have employees realise that the risks are real rather than theoretical.</p>                                                                                                                                                                                                                                                                                                                                                                          |
| Question 111 d           | <b>New issues that occur in the market, e.g. significant regulatory actions or new regulations</b>                                                           | <p><b>Points for Consideration</b></p> <p>Without regular and relevant updates to training material, staff may not be aware of emerging typologies, risks or control standards.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Question 111 e           | <b>Conduct and Culture</b>                                                                                                                                   | <p><b>Points for Consideration</b></p> <p>Conduct and Culture in this context refers to regulatory requirements and institutional standards around behaviour from a FC risk management perspective.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Question 111 f           | <b>Fraud</b>                                                                                                                                                 | <p><b>Guidance</b></p> <p>A training programme should include fraud-related case studies and risks identified in the Institution in order to provide employees with information on potential scenarios related to internal and external fraud.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Question 112             | <b>Is the above mandatory training provided to:</b>                                                                                                          | <p><b>Guidance</b></p> <p>Training should be provided to all functions that have a role within the overall AML, CTF and Sanctions programme of the bank. This would include contractors/consultants and all roles mentioned below. Consider how the training can be tailored to the roles mentioned so that it is relevant and practical to employee's responsibilities.</p>                                                                                                                                                                                                                                                                                                                   |

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| Question 112 a       | <b>Board and Senior Committee Management</b>                                                                                                                           | <p><b>Guidance</b><br/>The Board, or other Senior Management Committee, is responsible for ensuring the effective implementation of, and adherence to, the AML, CTF and Sanctions programme. To be able to execute this, they must receive an appropriate level of training.</p>                                                                                                                                                                                              |
| Question 112 e and f | <b>Third parties to which specific FCC activities have been outsourced and non-employed workers (contractors/consultant)</b>                                           | <p><b>Guidance</b><br/>Answer “Yes” if your Entity provides training to the third party performing FCC activities on your behalf or if your Entity has oversight of the third party’s training programme for FCC and is comfortable that it complies with your Entity’s requirements.</p>                                                                                                                                                                                     |
|                      |                                                                                                                                                                        | <p><b>Points for Consideration</b><br/>If your Entity depends on any third parties to deliver parts of its AML, CTF or Sanctions programme, these third parties should be subject to the same standards of training as internal resources.</p>                                                                                                                                                                                                                                |
| Question 113         | <b>Does the Entity provide AML, CTF &amp; Sanctions training that is targeted to specific roles, responsibilities and high-risk products, services and activities?</b> | <p><b>Points for Consideration</b><br/>AML, CTF and Sanctions are broad and complex disciplines and staff in key roles should receive more targeted training to focus on higher-risk and more specialised areas of the programme.</p>                                                                                                                                                                                                                                         |
| Question 114         | <b>Does the Entity provide customised training for AML, CTF and Sanctions staff?</b>                                                                                   | <p><b>Guidance</b><br/>AML and Sanctions staff includes all full-time employees, as well as contractors and temporary staff, from both the first and second Line of Defence (refer to the Glossary for further information). “Customised” refers to a training programme tailored to the role and responsibilities that the employee undertakes.</p>                                                                                                                          |
|                      |                                                                                                                                                                        | <p><b>Points for Consideration</b><br/>Training will generally be more effective if it is targeted at the audience, in terms of relevance of content and level. A single universal set of training may not be appropriate for all staff in the bank and a more effective approach is to adopt a more targeted and customised training perspective either by business unit or function, or by risk area (e.g. specific trainings on, ABC, CTF, Sanctions screening, etc.).</p> |



| 12. Quality Assurance/Compliance Testing |                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                         |
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| Question 117                             | Does the Entity have a programme-wide risk-based Quality Assurance programme for financial crime (separate from the independent Audit function)?                                                                                                                                    | <b>Points for Consideration</b><br>Failure to ensure quality records relating to CDD and other KYC processes can lead to incomplete or inaccurate records, which may result in customers that exceed the risk appetite. Processes to assess the quality of those processes help mitigate that risk.                                                                                                                     |
| Question 118                             | Does the Entity have a programme-wide risk-based Compliance Testing process (separate from the independent Audit function)?                                                                                                                                                         | <b>Points for Consideration</b><br>It is important that the organisation has a compliance testing programme looking at FC controls across all functions which discharge FCC responsibilities, ensuring consistent oversight and identification of potential gaps in the programme.                                                                                                                                      |
| 13. Audit                                |                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Question 121                             | In addition to inspections by the government supervisors/regulators, does the Entity have an internal audit function, a testing function or other independent third party, or both, that assesses FCC AML, CTF, ABC, Fraud and Sanctions policies and practices on a regular basis? | <b>Guidance</b><br>An independent party should have the responsibility to examine and evaluate the adequacy and effectiveness of the policies, controls and procedures comply with the requirements of the applicable regulations, make recommendations in relation to those policies, controls and procedures, and monitor compliance with those recommendations.                                                      |
|                                          |                                                                                                                                                                                                                                                                                     | <b>Points for Consideration</b><br>Independent audit and testing of the FCC programme is an industry best practice and, in many cases, is a regulatory requirement. Independent audit should be designed to ensure that there is credible challenge to how the programme is working in order to assess its effectiveness. This independent review is necessary to avoid any bias in assessing whether the programme is. |
| Question 122                             | How often is the Entity audited on its AML, CTF, ABC, Fraud and Sanctions programme by the following:                                                                                                                                                                               | <b>Points for Consideration</b><br>The selection “Via component-based reviews” refers to reviews focusing on a theme (also known as thematic reviews) or on a specific function.<br>Frequent reviews from independent sources provide an assessment of the effectiveness of the programme.                                                                                                                              |
| Question 123                             | Does the internal audit function or other independent third party cover the following areas:                                                                                                                                                                                        | <b>Guidance</b><br>Indicate which areas are covered by the internal audit/independent assessments.                                                                                                                                                                                                                                                                                                                      |

|                  |                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                  |
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| Question 124     | <b>Are adverse findings from internal and external audit tracked to completion and assessed for adequacy and completeness?</b>                                   | <b>Points for Consideration</b><br>It is important to have adequate processes to track any identified findings to ensure completeness and validation of remediation. Lack of such processes may lead to an ineffective FC programme and potential regulatory concerns.                                                                                                                                                           |
| <b>14. Fraud</b> |                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Question 127     | <b>Does the Entity have policies in place addressing fraud risk?</b>                                                                                             | <b>Guidance</b><br>Your Entity should have a governance framework around “How to manage Fraud Risks?”. This could be achieved either in a dedicated Anti-Fraud Policy or by inclusion into other policies, such as Compliance, Misconduct or Corporate Security. The policy should cover at least the definition of Fraud, Applicability of the Policy, Roles and Responsibilities (including Obligations) and Escalation Paths. |
| Question 128     | <b>Does the Entity have a dedicated team responsible for preventing and detecting fraud?</b>                                                                     | <b>Guidance</b><br>It is important that resources are aligned not only for handling fraud events (investigations) but also to have teams allocated to a more holistic Fraud Prevention and Fraud Detection framework.                                                                                                                                                                                                            |
| Question 129     | <b>Does the Entity have real time monitoring to detect fraud?</b>                                                                                                | <b>Guidance</b><br>It is important that payment/transaction-based fraud is being monitored in real time to detect fraudulent patterns/behaviour enabling your Entity to interdict these transactions before processing them.                                                                                                                                                                                                     |
| Question 130     | <b>Do the Entity’s processes include gathering additional information to support its fraud controls, for example, IP address, GPS location and/or device ID?</b> | <b>Guidance</b><br>It is important that fraud monitoring systems use all available data to identify potential fraudulent transactions before processing them. Examples include, but are not limited to, transactional data (amount, date, IP address, device ID, authentication method) and non-transactional data (customer data, industry, location) as well as watchlists (internal/external).                                |